

Sweetening the lives of kenyans while powering communities



Mumias Sugar Company

Annual Report & Financial Statements 2012



Vision, Mission and Core Values

Our Vision

To be a world class producer of sugar and energy.

Our Mission

To consistently satisfy consumer needs for sugar and energy through efficient and innovative practices while meeting the diverse expectations of all our stakeholders.

Our Core Values

- Consistently offer quality products and services to our customers.
- Uphold excellence in performance as a key business driver.
- Encourage teamwork and positive contribution from our motivated and innovative employees.
- Conduct business with our customers and all other stakeholders with integrity and probity.
- Practice fair competition.
- Observe good corporate governance at all times.
- Be a responsible corporate citizen.
- Be an equal opportunity employer guided by local laws and International Labour
- Organization conventions.
- Embrace internationally accepted health, safety and environmental practices in our operations.

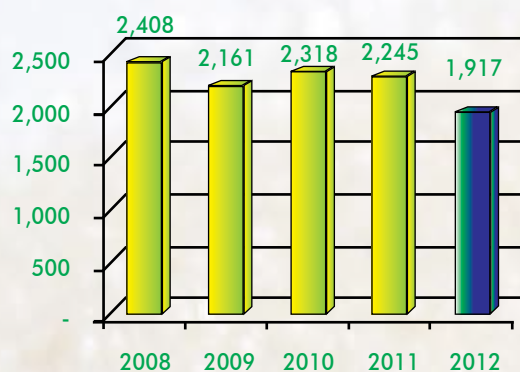
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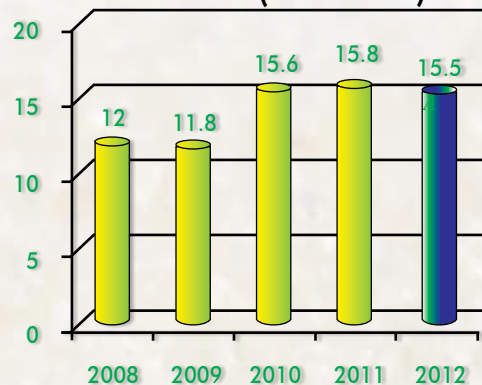


Performance Highlights

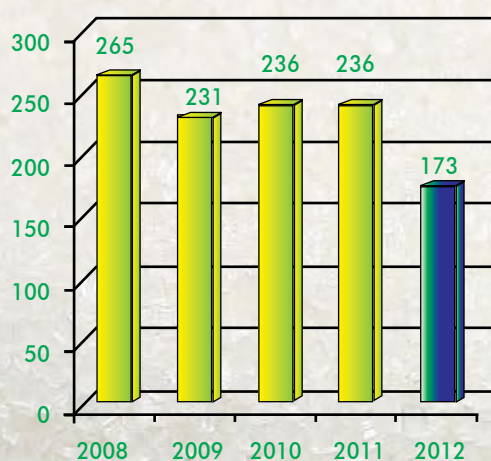
Sugar Cane Processed ('000 tonnes)



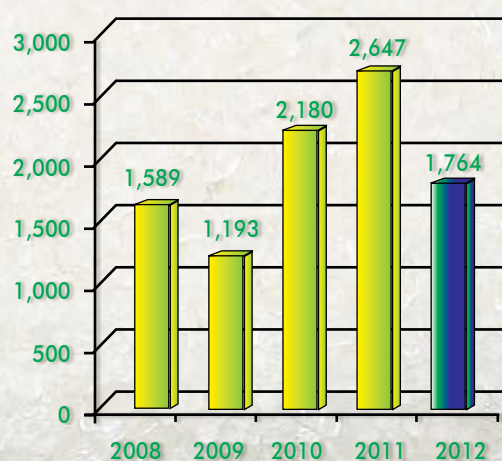
Net Turnover (Shs 'billions')



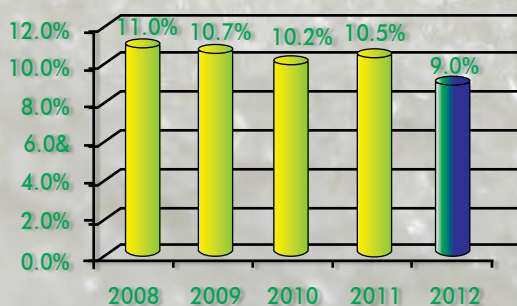
Sugar Production ('000 tonnes)



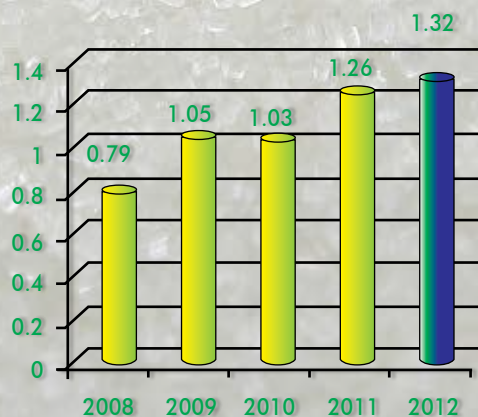
Profit Before Tax (Shs 'millions')



Rendement / Sugar Recovery Rate(%)

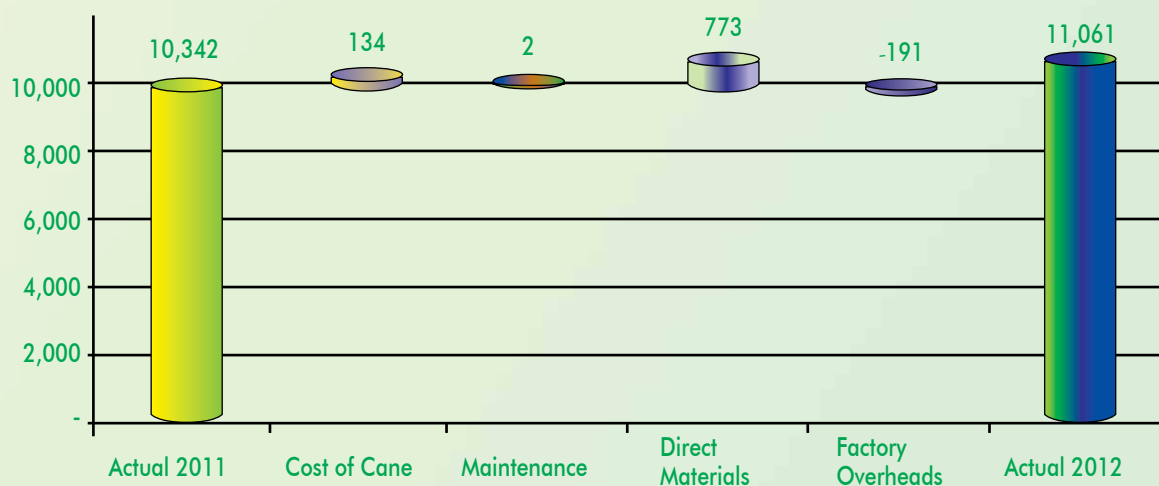


Earnings Per Share (Shs)

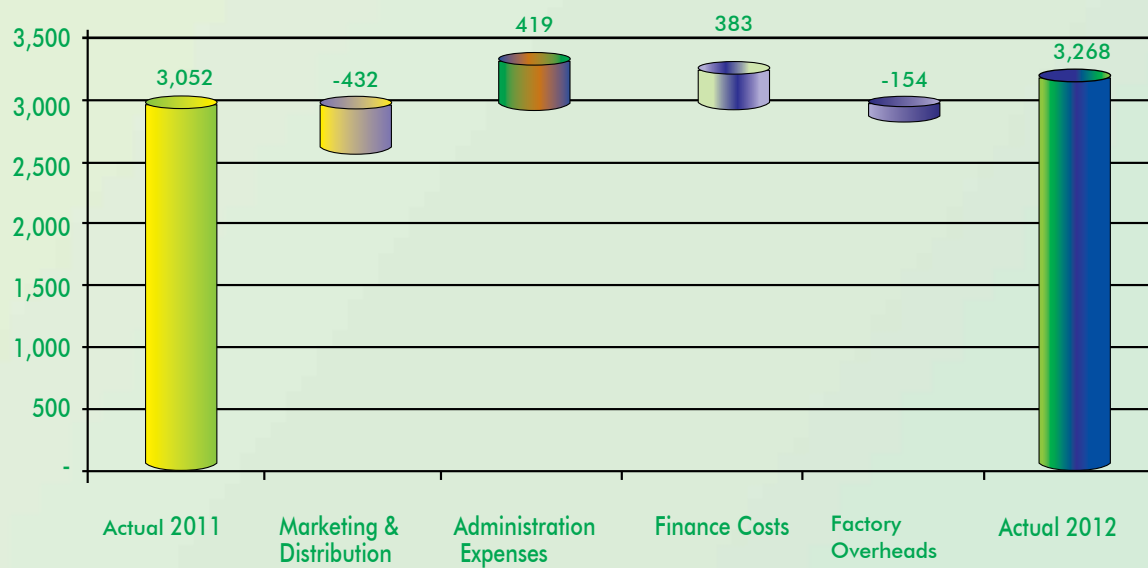


Performance Highlights (cont'd)

Cost of Sales (Kshs. Millions)



Other Costs (Kshs. Millions)



Performance Highlights (cont'd)

VALUE ADDED STATEMENT

Financial Impact on Various Stakeholders

CUSTOMERS
Net Cash from our activities
Kshs 18,126 million

EMPLOYEES
Staff Costs
Kshs 1,998 million
1,896 Employees

SHAREHOLDERS
Profits
Kshs 1,764 million

FARMERS
147,000 Farmers
Cost of Cane = Kshs 6,971 million
Credit to Farmers = Kshs 2,468 million

GOVERNMENT
Taxes
Kshs 2,568 million

SUPPLIERS
Purchases
Kshs 4,540 million

PROJECTS
Capital Investment
Kshs 4,437 million

BANKS & FINANCIERS
Interest & Charges
Kshs 208 million

COMMUNITIES
Corporate Social Investment
Kshs 46 million

KSB
KSB Levy
Kshs 592 million

Corporate Information

DIRECTORS

Mr J V Bosse	- Chairman
Mr J V Bosse	- Chairman
Mr P Kebati	- Managing Director
Mr J Kinyua	- (alternate Mrs E Koimett)
Hon A S Wako	
Mr J G Chege	
Ms S K Serem	
Mr S Bunyasi	
Mr F K Kigen	
Mr E M Mukabanah	
Mr J M Mruttu	
Mr C Otolo	

BOARD COMMITTEES

Board Audit Committee

Mr C Otolo	- Chairman
Mrs E Koimett	- (alternate Mr J Kinyua)
Mr S Bunyasi	
Mr F Kigen	

Board Human Resource and Strategy Committee

Mr S Bunyasi	- Chairman
Mr P Kebati	
Mrs E Koimett	
Mr E M Mukabanah	
Ms S K Serem	
Mr F Kigen	

Board Tender Committee

Mr J G Chege	- Chairman
Mr E Mukabana	
Mr J M Mruttu	
Mrs S K Serem	

COMPANY SECRETARY

Mrs Emily Otieno
Certified Public Secretary (Kenya)
Private Bag, Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag, Mumias

REGISTRARS

Image Registrars
P O Box 9287 - 00100
Nairobi

BANKERS

Kenya Commercial Bank Limited
Barclays Bank of Kenya Limited
The Co-operative Bank of Kenya Limited
CFC Stanbic Bank Limited

ADVOCATES

E K Owinyi & Company
Hamilton Harrison & Mathews
Wetangula & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

Shareholding Information

MAJOR SHAREHOLDERS

The major shareholders on the company's share register as at 30 June 2011 were as follows:

		Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00%
2	Kenya Commercial Bank Limited	26,322,100	1.72%
3	The Jubilee Insurance Company Limited	22,335,002	1.46%
4	Baloobhai Chhotabhai Patel	17,771,800	1.16%
5	Kanouti Trustees	16,397,541	1.07%
6	Standard Chartered Nominees Non-Resd. A/C 9894	10,879,167	0.71%
7	Standard Chartered Nominees A/C 9098 AC	10,509,575	0.69%
8	Abdul Karim Charturbhai Popat	10,500,000	0.69%
9	Pradeep Patani	8,961,002	0.59%
10	Abdulrehman Abdulkarim Juma	8,724,500	0.57%
11	Others	1,091,599,313	71.35%
Total		1,530,000,000	100%

DIRECTORS' SHARE HOLDING

The directors' direct and indirect interests in the ordinary share capital of the company as at 30 June 2012 were as follows:

	Number of shares
Permanent Secretary, Treasury	306,000,000
Hon Amos Wako	1,125,000
Mr Peter Kebati	51,000
Ms Sarah Serem	7,500
	307,183,500

SHAREHOLDERS' PROFILE

Category	Number of shareholders	Number of shares	Percentage Holding
Local individuals	128,996	771,916,040	50.45
Local corporate	4,239	686,554,038	44.87
Foreign investors	680	71,529,922	4.68
Totals	133,915	1,530,000,000	100.00

SHARES DISTRIBUTION SUMMARY

Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 500	22,063	5,282,789	0.35
501 to 1000	40,782	28,331,204	1.85
1001 to 5000	49,253	114,486,010	7.48
5001 to 10000	10,838	76,535,526	5.00
10001 to 50000	8,722	181,922,418	11.89
50001 to 100000	1,057	74,483,491	4.87
100001 to 500000	922	192,155,498	12.56
500001 to 1000000	130	90,726,629	5.93
1000001 to 2000000001	148	766,076,435	50.07
Total:	133,915	1,530,000,000	100

Notice of the Annual General Meeting (AGM) 2012

NOTICE IS HEREBY GIVEN that the 41st Annual General Meeting of the company will be held at Tom Mboya Labour College on Friday 7 December 2012 at 10.00am to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the Fourtieth Annual General Meeting held on 2 December 2011
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June 2012 together with the Directors' and Auditors' Reports thereon.
4. To declare and approve a final dividend of Kshs 0.50 cents per share for the financial year ended 30th June 2012 payable to the shareholders on the Register of Members at close of business on Friday 2nd November 2012.
5. To elect Directors:
 - (a) Mr. Kungu Gatabaki resigned from the Company in the course of the year. Shareholders will vote to fill the vacancy left by Mr. Kungu Gatabaki
 - (b) Mr. Francis Kigen, Mr. Amos Wako and Mr. John Mruttu are due to retire by rotation in accordance with article 113 of the company's Articles of Association.
6. To approve the Directors remuneration for the year ended 30th June 2012
7. To note that the Auditors, Deloitte & Touché, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
8. Any other business for which appropriate notice has been issued and received.

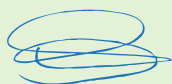
SPECIAL BUSINESS

9. To consider and, if approved, pass the following Special Resolution:-

"That the Articles of Association of the Company be amended by inserting this new Article after Article 49 to read as follows;

- 49(a) THAT the Company may, if required by law, deliver or pay to any prescribed regulatory authority any unclaimed financial assets including but not limited to shares in the Company presumed to be abandoned or unclaimed in law and any dividends or interest thereon remaining unclaimed beyond prescribed statutory periods. Upon such delivery or payment, the unclaimed financial assets shall cease to remain owing by the Company and the Company shall no longer be responsible to the owner or holder, or his or her estate, for the relevant unclaimed financial assets. "

BY ORDER OF THE BOARD



E K OTIENO

Company Secretary

Date: 30th August 2012

Note:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. A form of proxy may be obtained from the Company's website or from the Company's share registrars. To be valid, a proxy must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00 a.m on Monday 30th November 2012.
3. In accordance with Article 155 of the Company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com. An abridged version of the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity and Statement of Cash flows for the year ended 30th June 2012 have been published in two daily newspapers with nationwide circulation.

Notisi ya Mkutano wa Pamoja wa Mwaka (AGM) 2012

NOTISI INATOLEWA HAPA KWAMBA mkutano wa 41 wa pamoja wa mwaka wa kampuni utafanyika katika chuo cha Tom Mboya Labour Ijumaa Desemba 7, 2012 kuanzia saa nne asubuhi ili kuangazia maswala yafuatayo kibiashara:

- 1) Kusoma notisi ya kuitishwa kwa mkutano.
- 2) Kuthibitisha kumbukumbu za mkutano wa 40 wa mwaka uliofanyika Desemba 2, 2011.
- 3) Kupokea, kuangazia na endapo itathibitishwa kupitisha taarifa za matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2012 pamoja na ripoti za wakurugenzi na wakaguzi wa pesa.
- 4) Kutangaza na kupitisha malipo ya mwisho ya mgawo wa faida ya senti 0.50 kwa kila hisa kwa kipindi cha mwaka uliomalizika Juni 30, 2012 utakaolipwa kwa wanachama ambao majina yao yatakuwa katika sajili ya wanachama kufikia Novemba 2, 2012.
- 5) Kuwachagua wakurugenzi:
 - a) Bw. Kungu Gatabaki alijiuzulu kutoka Halmashauri wakati wa kipindi hiki cha mwaka. Wanahisa watapiga kura kujaza nafasi iliyoachwa wazi na Bw. Kungu Gatabaki.
 - b) Mabw. Francis Kigen, Amos Wako na John Mruttu wanatarajiwa kustaaifu kwa zamu kwa mujibu wa kifungu nambari 113 cha sheria za makampuni.
- 6) Kupitisha malipo ya wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2012
- 7) Kutambua kwamba, kwa kuwa hali inawaruhusu, wakaguzi wa pesa Deloitte & Touche wataendelea mbele na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za makampuni (kifungu nambari 486) na kuwaamuru wakurugenzi kuamua malipo yao.
- 8) Shughuli nyingine ambazo notisi yake itakuwa imetolewa na kupokelewa kwa muda unaofaa.

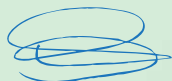
SHUGHULI MAALUMU

9. Kuzingatia na endapo itakubaliwa kupitisha azimio lifuatalo maalumu.

“ kwamba vifungu vya sheria za kampuni vifanyiwe marekebisha na kuingiza kifungu kifuatacho kipa baada ya kifungu nambari 49 na kusoma kama ifuatavyo;

- 49 (a) KWAMBA kampuni inaweza endapo sheria itahitajika kisheria kutuma au kutoa malipo kwa halmashauri yoyote ya kisheria raslimali zozote za kifedha ambazo hazijadaiwa ikiwemo bila kuweka kikwazo, hisa zinazoshikiliwa na kampuni zitakazodhaniwa kuachiliwa au kutodaiwa kisheria au riba yoyote ambayo haijadaiwa kwa muda mrefu ambao umefafanuliwa kisheria. Baada ya kutumwa au kutolewa kwa malipo kama haya, raslimali za kifedha ambazo hazijadaiwa hazitakuwa tena mali inayodaiwa kampuni na kampuni haitahusika tena na mmiliki au mshikilizi au ashamba lake kuhusiana na raslimali za kifedha ambazo hazijadaiwa.

KWA AMRI YA HALMASHAURI



E K OTIENO

Katibu wa Kampuni

Imenukuliwa Agosti 30, 2012

Muhimu:

- 1) Mwanachama yeyote kupitia notisi aliyotia sahihi yeye mwenyewe na kuwasilishwa kwa katibu kabla ya siku 3 lakini zisizidi 21 kabla ya kufanyika kwa mkutano wa pamoja wa mwaka anaweza kutoa notisi kuonyesha nia yake ya kumpendekea mtu yeyote kuchaguliwa kama Mkurugenzi kwenye Halmashauri. Notisi kama hii iambatane na sahihi iliyotiwa na mtu aliyependekezwa kudhihirisha nia yake kutaka kuchaguliwa.
- 2) Mwanachama aliye na uwezo kufika kwenye mkutano na kupiga kura lakini akawa hawezi kufanya hivyo, ana ruhusa kumteua wakala wake kuhudhuria na kupiga kura kwa niaba yake. Si lazima kwa wakala huyo kuwa mwanachama wa kampuni. Fomu ya wakala inaweza kupatikana kupitia wavuti wa kampuni au wasajili wa hisa za kampuni. Ili kukubaliwa, fomu ya wakala lazima iwe imejazwa kikamilifu na kutiwa sahihi na mwanachama na lazima iwasilishwe katika ofisi za msajili wa hisa za kampuni, Image Registrars and Certified Public Secretaries, orofa ya nane Jumba la Trans National Plaza Barabara ya Mama Ngina , Slp 9287-00200 GPO NAIROBI au iwasilishwe katika ofisi za kampuni , Mumias kabla ya saa tano asubuhi siku ya Jumatatu Novemba 30, 2012.
- 3) Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni, nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kupatikana kupitia wavuti wa kampuni ambao ni: www.mumias-sugar.com . Muhtasari wa mizania, taarifa za mapato na mabadiliko ya hisa na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2012 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kote nchini.
3. Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni, nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kuonekana na kupatikana kupitia tovuti ya kampuni ambao ni: www.mumias-sugar.com Muhtasari wa mizania, taarifa za mapato na mabadiliko ya mtaji na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2011 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kote nchini.

Notice To Shareholders on Unclaimed Assets

TO OUR ESTEEMED SHAREHOLDERS

At the 41st Annual General Meeting of the company to be held at Tom Mboya Labour College on Friday 7 December 2012, the Directors of the Company will be proposing to the shareholders of the Company to pass the following resolution;

"THAT the Company may, if required by law, deliver or pay to any prescribed regulatory authority any unclaimed financial assets including but not limited to shares in the Company presumed to be abandoned or unclaimed in law and any dividends or interest thereon remaining unclaimed beyond prescribed statutory periods. Upon such deliver or payment, the unclaimed financial assets shall cease to remain owing by the Company and the Company shall no longer be responsible to the owner or holder, or his or her estate, for the relevant unclaimed financial assets."

Reason for the Resolution

The government enacted the Unclaimed Financial Assets Act on 16th December 2011. The purpose of the Act is to guide institutions on how to report and deal with unclaimed financial assets and particularly requires such assets to be surrendered to the relevant government authority mandated to collect such assets.

What you should know as a shareholder or beneficiary.

(a) What are unclaimed financial assets?

These are financial assets that are presumed to have been abandoned because the owner or beneficiary has not claimed them for a certain period of time as set down by law. Such assets include bankers cheques amounts that have been outstanding for more than 2 years, bank accounts that have remained dormant for more than 5 years and shares in which for more than 3 years, the owner or beneficiary has not claimed the shares or dividends due on the shares or has not communicated with the Company.

(b) How will a shareholder be affected by the new law?

A shareholder or beneficiary who has not claimed his or her shares and/or dividends for the last 3 years risks losing his/her shares and/or dividends as they will be surrendered to the relevant regulatory authority.

(c) How do dividends remain unclaimed?

This happens when dividend cheques are not presented for payment on time by a shareholder or when the dividend cheques are returned to the Company's registrar because a shareholder has changed his postal address, given a wrong address or the address given by a shareholder is no longer in existence. The dividends can also remain unclaimed if the owner is deceased but the beneficiaries have not obtained the relevant documents to enable them claim for the dividends or they just do not know that they are beneficiaries.

(d) What should shareholders do to avoid losing their dividends or shares?

All shareholders/beneficiaries are urged to urgently update their contacts including postal address details with the Company's registrar and their stockbrokers. Shareholders who have not received any/all their dividends should also make an effort of contacting the Company's registrar to determine whether they have any unclaimed dividends.

(e) Who is the Company's registrar

Any enquiry or claim for unclaimed shares or dividends should be lodged at the offices of the Company's share registrars who are, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias.

(f) What should a shareholder/beneficiary have to make a claim/enquiry?

The shareholder or beneficiary should furnish the Company's registrar of shareholding or letters of administration in the case of a beneficiary claiming on behalf of a deceased shareholder.



E K OTIENO

Company Secretary

Date: 30th August 2012

KWA WANAHISA WETU WAPENDWA

Wakati wa Mkutano wa pamoja wa Mwaka wa 41 utakaofanyika katika chuo cha Tom Mboya Labour College Ijumaa Desemba 7, 2012, wakurugenzi wa Kampuni watatoa pendekezo kwa wanahisa wa Kampuni ili kupitisha maazimio yafuatayo:

“KWAMBA, kampuni inaweza endapo sheria zitairuhusu kuwasilisha au kulipa kwa halmashauri yoyote ya kisheria iliyotajwa raslimali zozote za kifedha ambazo hazijadaiwa ikiwemo bila kuweka kikwazo hisa zinazomilikiwa na kampuni ambazo zinadhaniwa kuachwa au kutodaiwa kisheria pamoja na mgawo wowote wa faida au riba yoyote iliyosalia bila kudaiwa kwa muda uliofafanuliwa kisheria. Baada ya kuwasilishwa au kutolewa kwa malipo, raslimali ambazo hazijadaiwa zitakoma kudaiwa kampuni na kampuni haitajawajibikia mhusika au mmiliki kutokana na shamba lake kuhusiana na raslimali husika za kifedha ambazo hazijadaiwa.”

Sababu ya azimio

Serikali ilipitisha kifungu cha sheria kinachohusu raslimali za kifedha ambazo hazijadaiwa cha mwaka 2011. Madhumuni ya kifungu hiki cha sheria yalikuwa ni kutoa mwongozo kwa taasisi jinsi ya kuripoti na kushughulikia raslimali za kifedha ambazo hazijadaiwa na hasa inahitaji kwamba raslimali kama hizi kusalimishwa kwa halmashauri husika za kiserikali ambazo zimepewa majukumu kukusanya raslimali kama hizi.

Yale unayopasa kujua kama mwanahisa au mrithi.

a) Nini maana ya raslimali za kifedha ambazo hazijadaiwa?

Hizi ni raslimali za kifedha ambazo zinadhaniwa kuachiliwa kwa sababu mmiliki au mrithi hajazidai kwa kipindi fulani ambacho kimeratibiwa kisheria. Raslimali kama hizi ni akaunti za benki ambazo zimekuwa hazitumiki kwa zaidi ya muda wa miaka mitano na hisa ambazo kwa muda wa zaidi ya miaka mitatu mwenyewe au mrithi hajazidai au mgawo wa faida kutokana na hisa au hajawasiliana na kampuni.

b) Mwanahisa ataathirika vipi na sheria hii mpya?

Mwanahisa au mrithi ambaye hajadai hisa zake au mgawo wa faida kwa muda wa miaka 3 iliyopita ataweza kupoteza hisa zake au mgawo wa faida kwani zote zitasalimishwa kwa halmashauri husika ya kisheria.

c) Migawo ya faida ilikosa vipi kudaiwa?

Hili linafanyika wakati mwanahisa anapokosa kuwasilisha hundi zake za migawo ya faida kwa muda unaofaa au wakati hundi za migawo wa faida zinaporudishwa kwa msajili wa kampuni kwa sababu mwanahisa amebadilisha anwani ya sanduku lake la posta, kupeana anwani mbaya au wakati anwani ya sanduku ya posta iliyotolewa na mwanahisa haitumiki tena. Pia, mgawo wa faida unaweza kukosa kudaiwa endapo mmiliki amefariki lakini warithi wake wakawa hawajapata stakabadhi zinazohitajika kuwawezesha kudai migawo ya faida au kukosa kujua kwamba wao ndio warithi.

d) Wanahisa watafanya nini kujiepusha kupoteza migawo yao ya faida au hisa?

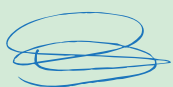
Wanahisa wote na warithi wanahimizwa kwa haraka kuthibitisha anwani zao yakiwemo maelezo kuhusu sanduku lao la posta kwa msajili wa hisa za kampuni au mawakala wao wa hisa. Wanahisa ambao hawajapokea mgawo wowote au migawo ya faida wanahimizwa kujitahidi kuwasiliana na msajili wa hisa za kampuni ili kuthibitisha endapo wana hisa zozote ambazo hazijadaiwa.

e) Ni nani msajili wa hisa za kampuni?

Maswali yoyote au madai kuhusiana na hisa au mgawo wa faida yanawasilishwa katika ofisi za msajili wa hisa za kampuni ambao ni Image Registrars & Certified Public Secretaries, orofa ya nane jumba la Transnational Plaza, barabara ya Mama Ngina Slp 9287, 00200 G.P.O NAIROBI au kuwasilishwa katika ofisi ya Kampuni iliyoko Mumias.

f) Mwanahisa /Mrithi atafanya vipi kuwasilisha madai/maswali?

Miliki wa hisa au mrithi atoe maelezo kwa msajili wa kampuni kuhusu umiliki wa hisa au barua za usimamizi kutoka kwa mtu anayedai kuwa mrithi kwa niaba ya mwanahisa aliyefariki.



E K OTIENO

Katibu wa kampuni

Imenukuliwa Agosti 30, 2012.

Board of Directors



MR JOHN BOSSE (65)

Mr. Bosse is the Chairman of the Board and is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank Limited where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.

Chairman



MR. PETER KEBATI

Peter Kebati is Managing Director and Chief Executive Officer of the Company. He is a Certified Public Accountant and Certified Credit Professional and a member of the Institute of Certified Public Accountants of Kenya (ICPAK). He has been at Mumias Sugar Company Limited from 2003 having served as Head of Audit and Finance Director before being appointed Managing Director. He had earlier worked with PriceWaterhouseCoopers and Standard Chartered Bank in Audit & Credit Management. Peter has in-depth knowledge of the Kenyan sugar industry. He has been instrumental in driving business initiatives and diversification projects at Mumias including 38MW Cogeneration plant, 20 million litre water bottling plant (which was the first CDM Project to be registered in Kenya), 22 Million litre Ethanol distillery and company's Greenfield project in Tana River in the coastal part of Kenya.

Managing Director



MR FRANCIS KIPKOECH ARAP KIGEN (67)

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA in Political Science (Hons) degree before proceeding for a Master of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has previously served as a director of Kenya Bureau of Standards, as alternate director at Esso Kenya Limited. He has held managerial positions having worked as Human Resources/Public Affairs Manager at Esso Kenya Limited, as Training Manager at British American Insurance Company and as Director of Kenya Institute of Personnel Management.

Director



MRS ESTHER KOIMET (55)

Mrs. Koimet is the alternate to Mr. Joseph Kinyua, the PS Ministry of Finance. She is a holder of an MBA and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information as well as the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance.

Alternate Director



MR JOSEPH KINYUA (67)

Mr. Kinyua holds a Master of Arts degree in Economics. He has worked in various senior positions in the Central Bank of Kenya, International Monetary Fund and Ministry of Finance. He is currently the Permanent Secretary, Treasury and serves on several corporate boards.

Director



HON AMOS WAKO (66)

Hon. Wako holds a Bachelor of Laws degree from the University of Dar es Salaam and Master of Law and Bachelor of Science (Economics) Honours degrees from the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner of Kaplan and Stratton Advocates and a long serving Attorney General of the Republic of Kenya.

Director



MR JOHN MTUTA MRUTTU (58)

Mr. Mruttu is an engineer by profession with BSc – Mechanical Engineering from the University of Nairobi and an MBA from the same university. He is a member of the Institute of Mechanical Engineer – (UK) and a registered Chartered Engineer. He is currently the general manager of Kenya Petroleum Refineries Ltd (KPRL). He has a wide experience in various fields of engineering.

Director



MR MUKABANA EDWINS MASSIMBA (55)

Mr. Mukabana has a Master of Science in Transport Planning and Management from Westminster (UK) and a Bachelor of Arts in Political Science. He is currently the Managing Director of the Kenya Bus Services Management Limited and President of Bus Operators Commission at Union of Africa Public Transport (UATP). Mr Mukabana is also a Managing Consultant with Transport Links Limited, a firm that advises on transport restructuring.

Director



MR SAKWA J BUNYASI (66)

Mr. Bunyasi hold a Doctoral Studies degree in Economics and Public Policy from George Washington University, a Master's of Science degree in Agricultural Economics from the University of Nairobi and a Bachelor of Arts degree in Economics from the University of Nairobi. He has a wealth of experience having worked for the World Bank in various capacities and retiring as Lead Operations Officer, South Asia Region. His area of expertise is public finance, loan negotiation and syndication.

Director



MRS EMILY K OTIENO (43)

Mrs. Otieno is the Company Secretary and the Secretary to the Board. She holds a Bachelor of Laws Degree from the University of Nairobi, a Post graduate Diploma in Legal studies from the Kenya School of Law and an Executive Diploma in Corporate Governance from Kenya College of Accountancy (KCA) University. She is a Certified Public Secretary of Kenya and an advocate of the High court of Kenya with a long experience as an in house-legal counsel. Prior to joining Mumias Sugar Company Limited she worked with the Lake Basin Development Authority as the Principal Legal Officer. Emily is a member of the Institute of Certified Public Secretaries of Kenya and the Law Society of Kenya.

Company Secretary



MR JAMES CHEGE (59)

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of Kenya Commercial Finance Company Limited (KCFC) which is a wholly owned subsidiary of Kenya Commercial Bank Limited. He is currently Director, Bank Restructuring and Privatization Project in the Ministry of Finance funded by the World Bank.

Director



MRS SARAH JEPKEMBOI CHUMO SEREM (53)

Mrs. Serem holds a Bachelor of Arts (Sociology and Political Science) and a Masters of Business Administration from the University of Nairobi. She is a member of the Institute of Human Resource Management of Kenya and has over 28 years experience in HRM practice and other management undertakings. She is the managing director of YoungBiz, a multinational trading company that specializes in entrepreneurship business and financial literacy education. She is currently the Chairperson of the Public Service Salaries Commission.

Director



MR. COUTTS OTOLO

Mr. Otolu is a Certified Public Accountant and Financial and Management Consultant. He holds a Bachelor of Commerce (Honours) degree from University of Nairobi and is a Fellow of the United Kingdom's Association of Chartered Certified Accountants (ACCA). He is licensed to practice in United Kingdom, Kenya, Uganda and Rwanda as a Certified Public Accountant. Mr. Otolu is currently the Chief Executive Officer; Crowe Horwath EA, a firm of Certified Public Accountants, having previously worked as the Chief Executive Officer and Regional Head of Advisory Services at Ernst & Young; Eastern Africa. He is also a Member of the Institute of Certified Public Accountants of Kenya (ICPAK) and former member of the Institute's Governing Council, Member of the Institute of Certified Public Accountants of Uganda (ICPAU) and Member of the Institute of Certified Public Accountants of Rwanda (ICPAR)

Chairman's Statement

On Our esteemed shareholders;

Allow me, on behalf of the entire Board of Directors, to present to you the forty first Annual Report on the business and operations of the Company and financial results for the year ended 30th June, 2012.

FINANCIAL RESULTS

The company made a profit after tax of Kshs 2,013 million. This was an increase of 4% over the previous year's profit after tax of Kshs 1,933 million. Earnings per Share (EPS) of Kshs 1.31 was better than the Kshs 1.26 in the year 2011

OPERATIONS

Operations were mainly affected by the drop in supply of raw materials. A total of 1,917,340 tonnes of sugarcane were processed compared to 2,245,281 tonnes in 2011, representing a 15 % drop. This was mainly due to a decline in cane availability and poor quality cane arising from intermittent dry spells experienced in 2009 and excessive rain experienced in 2011 which affected our crop coupled with increased cane poaching in our zone. This in the end affected the Company's key performance parameters as they are all dependant on cane, especially sugar production. The company produced a total of 174,005 tonnes of sugar compared to 235,812 tonnes in the year 2011.

REVENUE

Gross turnover was Kshs 18,703 million compared to Kshs 18, 813 million in 2011. This was as a result of better sugar prices in 2012 as compared to 2011.

The cogeneration plant generated net revenues of Kshs 435 million from sale of power compared to Kshs 353 million in 2011. This was attributed to investment in the energy balance project which was aimed at balancing the energy requirements for both the sugar and cogeneration plants in order to avail more power for export to the national grid.



John V Bosse
Chairman

CONTRIBUTION TO GOVERNMENT REVENUE

The company continues to be recognized as one of the top 25 contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL) and other taxes. In the financial year under review, the company paid Kshs 3.2 billion in VAT, SDL and other taxes to the government compared to Kshs 3 billion in 2011. This demonstrates the company's commitment to discharging its statutory and regulatory obligations.

DIVIDENDS

The Directors propose a first and final dividend of 25% per ordinary share of KShs 2.00 each which is KShs 0.50 per share. The final dividend will be paid to shareholders who were on the register as at the close of business on 2 November 2012. The final proposed dividend is not accounted for as part of equity until it has been ratified at the Annual General Meeting (AGM) scheduled to be held on 7 December 2012.

STATUTORY AUDIT

The MSC financial statements were audited by Deloitte & Touché and received an unqualified opinion.

OUTLOOK

Sugar Industry

At the end of the financial year the world sugar prices were in the region of USD 600 – USD 650 per tonne due to excess supply due to high prices at the beginning of the period. The unprecedented high sugar prices both locally and globally pushed sugar producers to produce more. The region is experiencing slightly higher sugar prices attributed to high productions costs. There are expectations of relatively high sugar prices in the medium term driven by increased demand with the supply from local millers not being able to meet the requirement. However, the impact



Chairman's Statement (cont'd)



will depend on the availability of surplus sugar in the COMESA member states and global prices since most of the region's surplus stocks are released to the better paying markets in the other parts of the world.

The company's product diversification strategies combined with cost reduction initiatives are expected to shield the company from competitive pressure. The emergence of new factories has resulted in an unprecedented cane shortage as all these factories continue to compete for the ever decreasing area under cane. This has put a constraint on the availability of adequate supply of quality cane due to the close

proximity of the factories. This will result in challenges to operate at full capacity. The company continues to expand its product range as a means of survival.

Ethanol distillery

The ethanol distillery was commissioned in June 2012. The distillery has an annual capacity of 22 million litres of ethanol. The project is undergoing registration by the United Nations Framework Convention on Climate Change as a Clean Development Mechanism (CDM) Project. Management is working on establishing partnerships that will enhance the sale of the product.



Co-generation

The co-generation plant for electricity performed below expectation due to challenges of availing constant flow of bagasse (a by-product of sugar cane processing which is used as fuel) from the sugar plant. However performance was better than in 2011 due to efficiencies realized after the refurbishment of Boiler 3B.

Water Bottling Plant

The water bottling plant commissioned in June 2012. The company is in the process of setting up adequate distribution channels for the new product. Though a very competitive market, it is anticipated that water will provide another revenue stream to the Company as part of product diversification.

Future outlook

Product diversification will be a key growth driver and other opportunities are being explored. Possible acquisitions and greenfield operations are being reviewed and will be implemented where viable as part of enhancing shareholder value.

The company has a long term credit rating of A+ and short term credit rating of A1 by Global Credit Rating (GCR) Co. This underscores the capacity of the company to raise funds for its planned major expansions through acquisitions and Greenfield operations.

The Board of Directors will continually review the various business strategies in place to ensure sustained business profitability and growth. The Board is cautiously optimistic of a satisfactory performance in the coming financial year.

Thank you.

John V Bosse
Chairman

Kwa wanahisa wapendwa

Kwa niaba ya Halmashauri nzima ya wakurugenzi, naomba fursa kuwaletea ripoti ya 41 ya mwaka kuhusu shughuli za kibiashara za kampuni na matokeo ya kifedha kwa kipindi cha mwaka uliomalizika Juni 30, 2012.

MATOKEO YA KIFEDHA

Kampuni ilipata faida baada ya kutozwa ushuru ya Kshs milioni 2,013 hili likiwa ongezeko la asilimia 4 (4%) ikilinganishwa na mwaka uliotangulia la Kshs. milioni 1,933 baada ya kutozwa ushuru. Mapato kwa kila hisa (EPS) ya Kshs. 1.32 yalikuwa bora dhidi ya Kshs. 1.26 ya mwaka 2011.

SHUGHULI

Shughuli ziliathiriwa kutokana na kupungua kwa upatikanaji wa mali ghafi. Jumla ya tani 1,917, 340 za miwa zilisagwa ikilinganishwa na tani 2,245,281 mwaka 2011 na kuwakilisha punguko la asilimia 15 (15%). Punguko hili lilitokana na uhaba wa miwa na thamani duni ya miwa kutokana na kipindi cha ukame kilichoshuhudiwa mwaka 2009 na mvua iliyozidi kiwango mwaka 2011 na ambayo iliathiri zao letu na pia kuongezeka kwa uvizaji wa miwa kanda yetu. Hatimaye, hali hizi ziliathiri viwango vya matokeo ya kampuni yetu kwani hali hizi zote hutegemea miwa hasa uzalishaji wa sukari. Kampuni ilizalisha jumla ya tani 174,005 za miwa ikilinganishwa na tani 235,812 mwaka 2011.



John V Bosse
Mwenyekiti

MAPATO

Mapato kwa jumla yalikuwa Kshs. milioni 18,703 ikilinganishwa na Kshs. Milioni 18,813 mwaka 2011. Mapato haya mazuri yalitokana na bei nzuri za sukari mwaka 2012 ikilinganishwa na mwaka 2011.

Mradi wa uzalishaji kawi kwa pamoja ulileta mapato ya jumla ya Ksh. Milioni 435 kutokana na uuzaji wa nguvu za umeme ikilinganishwa na Kshs. Milioni 353 mwaka 2011. Hii ilitokana na uwekezaji kwenye mradi wa usawazishaji kawi ambao madhumuni yake yalikuwa ni kusawazisha mahitaji ya nguvu za umeme katika kiwanda cha miwa na vile vya uzalishaji pamoja ili kuchangia kawi ya ziada kwenye mradi wa kitaifa.

MCHANGO KATIKA MAPATO YA SERIKALI

Kampuni inazidi kutambuliwa kama mojawapo wa wachangiaji 25 kwenye mfuko wa hazina ya serikali kupitia ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL) na ushuru mwingine. Wakati wa kipindi hiki cha matumizi ya pesa kinachoangaziwa, kampuni ililipa shilingi bilioni 3.2 kama Ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL) na ushuru mwingine kwa serikali ikilinganishwa na Kshs. bilioni 3 mwaka 2011. Hili linadhihirisha kujitolea kwa kampuni kutii kanuni na sheria.

MGAWO WA FAIDA

Wakurugenzi wanatoa pendekezo la mgawo wa kwanza na wa mwisho wa asilimia 25 (25%) kwa kila hisa za kawaida za Kshs. 2 kila moja ambao ni senti 0.50 kwa kila hisa. Mgawo wa mwisho wa faida utatolewa kwa wanahisa ambao majina yao yatakuwa katika sajili kufikia Novemba 2, 2012. Mgawo wa mwisho wa faida hauhesabiwi kama sehemu ya hisa hadi utakapothibithwa wakati wa mkutano wa pamoja wa mwaka (AGM) utakaofanyika Desemba 7, 2012.

UKAGUZI KISHERIA

Hesabu za matumizi ya pesa za kampuni ya MSC zilifanyiwa ukaguzi na Deloitte & Touche na kupitishwa bila pingamizi baada ya kutafuta ufafanuzi na maelezo kutoka usimamizi na Halmashauri ya Wakurugenzi.

MTAZAMO

Biashara ya Sukari

Kufikia kipindi cha mwisho wa mwaka, bei za kimataifa za sukari zilikuwa baina ya dola 600 hadi 650 za marekani kwa kila tani kutokana na kuwepo kwa sukari ya ziada na bei za juu wakati wa mwanzo wa kipindi hiki. Ongezeko la juu la bei za sukari lisilotarajiwa nchini na kimataifa ziliwalazamisha wazalishaji wa sukari kuzalisha sukari zaidi. Kanda hii inapokea kiwango cha juu kidogo cha bei za sukari kutokana na gharama za juu za uzalishaji. Kuna matarajio ya kuwepo kwa bei za juu za



Ripoti ya Mwenyekiti (kuendelea)

sukari kwa muda kutokana na kuongezeka kwa mahitaji huku uzalishaji kutoka kwa wasagaji wa humu nchini wakishindwa kukimu mahitaji. Hata hivyo, athari zake zitategemea uwepo wa sukari ya ziada kutoka mataifa wanachama wa COMESA na bei za kimataifa kwani kiwango kikubwa cha sukari ya ziada katika kanda hupatika kutoka masoko yaliyo na bei nzuri katika sehemu nyingine za ulimwengu.

Mkakati wa kampuni wa upanuzi wa bidhaa ukijumuishwa na mbinu za upunguzaji gharama unatarajiwa kuilinda kutokana na shinikizo la ushindani. Kuchipuka kwa viwanda vipya kumepokea kuibuka kusikotarajiwa kwa upungufu wa miwa kwani viwanda hivi vyote vinaendelea kung'ang'ania maeneo yanayoendelea kupungua ya uzalishaji wa zao hili. Hali hii imetoa changamoto ya upatikanaji wa miwa yenye thamani bora kutokana na uwepo wa karibu wa viwanda. Hali hii itotoa changamoto kwa utekelezaji kikamilifu wa shughuli.

Kampuni inazidi kupanua aina ya bidhaa zake kama mbinu ya kujihami kuendelea kudumu.

UTENGENZAJI WA "ETHANOL"

Kiwanda cha utengezaji ethanol kilizinduliwa mwaka 2012. Kiwanda hiki kina uwezo wa kuzalisha lita milioni 22 za ethanol kila mwaka. Kiwanda hiki kinaendelea na shughuli za usajili kutoka mradi wa Umoja wa Mataifa wa makubaliano kuhusu mabadiliko ya hali ya hewa kama mradi wa mbinu ya maendeleo ya usafi (CDM). Usimamizi unaendelea kubuni ushirikiano ambao utamahasisha uuzaji wa bidhaa hii.



MRADI WA UZALISHAJI KAWI KWA PAMOJA

Kiwanda cha uzalishaji kawi kwa pamoja kilitekeleza shughuli zake chini ya kiwango kilichotarajiwa kutokana na changamoto za upatikanaji mara zote wa bidhaa inayotokana na mabaki ya miwa iliyosagwa (bidhaa inayotokana na mabaki ya miwa inayotumika kama mafuta) kutoka kiwanda. Hata hivyo, matokeo yalikuwa bora ikilinganishwa na yale ya mwaka 2011 kutokana na utekelezaji bora uliopatikana baada ya kufanyiwa marekebisho kwa mtambo mkubwa wa kuchemsha wa 3B

KIWANDA CHA MAJI

Kiwanda cha kutengeza maji kilifunguliwa mwaka 2012. Kampuni iko kwenye hatua za kuzindua mbinu bora za usambazaji wa bidhaa hii mpya. Hata ingawa soko hili

linakabiliwa na ushindani mkali, inatarajiwa kwamba, maji yatabuni njia nyingine ya mapato kwa kampuni kama sehemu moja ya upanuzi wa bidhaa.

MTAZAMO WA SIKU ZA USONI

Upanuzi wa bidhaa utakuwa kigezo kikubwa cha ukuaji huku mbinu nyingine zikizidi kuvumbuliwa. Uwezekano wa umiliki wa shughuli za mashamba makubwa ya upanzi zinaendelea kutathminiwa na zitazinduliwa pale patakapowezekana kama sehemu moja ya kuhamasisha thamani kwa wanahisa.

Kampuni imeorodheshwa katika daraja la muda mrefu la kiwango cha A+ na daraja la muda mfupi la A1 na kampuni ya Global Credit Rating Co (CGR). Hili linatilia mkazo uwezo wa kampuni kuinua mtaji kwa mipango yake mikubwa ya upanuzi kupitia umiliki na shughuli za mashamba makubwa ya ukuzaji.

Halmashauri ya wakurugenzi itazidi kufanya tathmini mikakati mbali mbali ya kibiashara iliyoko ili kuhakikisha uthibiti wa faida za biashara na ukuaji. Halmashauri ina hakika ya kuwepo kwa matokeo ya kufana katika kipindi cha biashara kinachokuja.

Asanteni

John V Bosse
Mwenyekiti



Management Team



MR PETER KEBATI

Managing Director



MR PAUL MURGOR

Commercial Director



MR WESLEY KOECH

Director of Information & Communication Technology



MRS EMILY K OTIENO

Company Secretary & Director of Legal Affairs



MR MOSES NYONGESA

Director of Agriculture



MRS PAMELA LUTTA

Director of Marketing & Corporate Affairs



MR STEPHEN OLIEKA

Director of Human Resources



MR JONAH OMUYOMA

Director of Factory Operations



MR CHRIS CHEPKOI

Finance Director

Managing Director's Statement



Peter Kebati
Managing Director

Our Valued Shareholders

It gives me pleasure to present to you this report for the year ended 30 June 2012. Allow me to highlight on key areas in our operations that are of great interest to you as our Shareholder.

ECONOMIC REVIEW

The World Bank forecasted growth at 5% for 2012 under stable conditions and good rains. The economy remained vulnerable to effects of increased oil prices, lower agricultural production, the Euro zone crisis and domestic instability. Local financial markets continued their first quarter gains to close June in strong territory. The Kenyan stock market was one of the best performing globally driven by strong institutional demand. Inflation continued its march downwards from 18% in December 2011, registering 10.05% as at the end

of June 2012. Taking comfort from this, treasury rates were subdued, interest rates decreased, and the currency fought off current account deficit pressures. On the downside, economic growth slowed to 3.5% in Quarter 1.

SUGAR MARKET SITUATION

After three years of deficit, in 2011 the world sugar economy faced a year of a record global surplus. The gap between world output and consumption reached 9.5 million tons. By end of 2011, World stocks of sugar grew by 7.9 million tons to 79.1 million tons, which is equivalent to 48.5% of world consumption. World production grew by 14.4 million tons to a new record 171.1 million tons. In 2011, world sugar consumption decreased to 163.4 million tons, down 0.7 million tons from the previous year. World per capita consumption also decreased to 23.7kg, as against 24.1kg in 2010. During 2011, world prices for sugar demonstrated remarkable instability.

On the regional front lies a huge sugar business potential since Kenya and the larger East African block is a net importer of sugar. The area that has the highest potential is Industrial as most of the industries in East Africa are dependent on imported sugar. The population is growing at a rate of 3.3% and the annual sugar consumption growth rate being at about 2% annually, the demand for sugar continues to increase. The coming up of the Tripartite FTA-(EAC, COMESA, SADC) will increase trade and imports in the region however the treatment and trading regimes of these FTA

is crucial to the survival of the sugar industry in future.

Kenya's sugar consumption is growing steadily outpacing production. Domestic production supplies about 70 percent of total consumption. Earlier forecast made by Kenya Sugar Board (KSB) indicated that sugar consumption growth is at an annual rate of 4%. The per capita domestic sugar consumption in Kenya is 16.1 Kgs. Per capita sugar consumption differs across provinces with Rift Valley Province having the highest at 23.9 Kgs and Central having the lowest at 7.9 Kgs.

FINANCIAL POSITION

The company reported a turnover of Ksh 15.542 billion compared to Ksh 15.795 billion, a drop of 2% from last year due to low supply of sugar cane and competition from sugar imports.

Profit after tax for the year grew by 4% to Ksh 2.013 billion despite pressure from cost of production; establishment and delivery of cane costs. Earnings per share grew by 5% from Ksh 1.26 to Ksh 1.32.

Fixed assets grew by 21% due to completion and capitalization of Ethanol and Water plants. The company closed the year with a strong working capital position attributable to prudent management of working capital.

Implementation of transformation initiatives continued to yield positive results in a very competitive business environment.

Managing Director's Statement (cont'd)



AGRICULTURAL OPERATIONS

The first half of the financial year 2011/12 was wetter than normal while second half experienced a severe moisture deficit in the month of January, February up-to mid March which negatively affected cane growth. February 2012 was the driest month with only 5.1 mm received. Rains began in April, which enabled planting of lowland fields.

A total of 1,917,340 tons of cane was delivered which was lower than expected. Cane deliveries were hampered by the wet weather especially during the months of October –December and April – June. Cane yields dropped significantly from 55 TCH to 44.32 TCH combined for both Nucleus and Outgrowers. The deficiency is partly attributed to soil acidity as well as deficiency in potassium. To address this, Management is working in partnership with Kenya Agricultural Research Institution to come up with fertilizer blends that will tend to ameliorate the acidity as well as liming the soils to rid it of the nutrient deficiencies.

Cane fires were a big challenge during the

period with January – March 2012 being the worst hit months because of the dry weather. A total of 2,805.02 ha were razed down on the Nucleus Estate compared to the previous year where 1,296.89 ha were burnt. Cane poaching was also on the increase mainly by newly licensed mills which do not have established cane. A total of 2,135.55 ha, yield being 128,133 tons of cane were poached in the year. This is quite high compared to last year where only 570.0 ha were poached. Cane poaching vice remains a major challenge to sustainable cane availability.

Kisoko Cane Buying Centre operated well and has led to reduction in transport costs to farmers. Management undertook some studies on the possibilities of establishing similar centres in the Eastern zone and Northern zone. Two sites were identified and environmental impact assessment done. These will come into operation in the coming financial year.

Land preparation targets on plough, harrow and furrow lagged behind because of low unit availability. A total of 12,417.34 ha ploughed, 9,678.87 ha harrowed and

9,638.2 ha furrowed against a budget of 12,500 ha.

Farmers are encouraged to visit the factory to understand the sugar production process. 13 farmer visits/tours were carried out where farmers were exposed to cane weighments and other factory operations. Meanwhile a large number of farmer extension meetings were held in the various zones as part of enhancing service delivery.

FACTORY OPERATIONS

Sugar produced for the year 2011-12 was 174,005 tons compared to 235,812 tons in 2010/11. The Factory did not achieve the target owing to low sucrose in cane, insufficient cane supply and low capacity utilization of the plant.

The Cogeneration Plant generated 45,494 Mwhr of power and out of which 34,154 Mwhr was exported and the rest utilized internally. The plant did not achieve its target owing to lack of sufficient raw materials due to insufficient cane.

The Ethanol Plant was commissioned in June 2012 and a total of 100,000 litres produced. The plant is expected to produce 22 million of litres of ethanol from molasses which is a by-product of the sugar production process.

The Water Bottling Plant was also commissioned and 120,000 litres of water produced by year end. The water brand is Mumias Sprinkles and is already in the market. The product has been well received in the market.

Factory reliability was enhanced by the refurbishment of one of the large boilers for generation of more steam. Areas that were unreliable during the operating year

Managing Director's Statement (cont'd)

were addressed during the maintenance. Factory costs were controlled although the unit cost of production was high due to low product volume. Quality of sugar will be stabilized by implementing the sugar colour improvement project.

There was a fire incident on the 19th March, 2012 at the bagasse store which was controlled and managed. A claim has been lodged to the insurers. Meanwhile environmental issues are in focus companywide in line with MSC's core values.

COMMERCIAL ACTIVITIES

During the year, a total of 172,063 Mt of sugar was sold. Branded sugar sales stood at 31% of the total sales against a target of 40%, an improvement of 3% compared to the previous year. During the period, regional sugar from Uganda and Tanzania came in at lower prices thus contributed to a drop in the local sugar price. The average net selling price of KShs 85,885 was achieved against a target of KShs 65,000 per Mt.,

The retail end of branded sugar remained stable at about KShs 120 - 150/- per Kilo while repacked sugar averaged at KShs 115 per kilo. Bulk sugar prices continued to drop from a high of KShs 5,500 per bag to KShs 4,400 by the end of the period. Internationally in the European Union (EU) market sugar prices traded between USD 650 per mt and closed at USD 600 per Mt. With the entry of the new miller's competition was mainly on bulk pricing with most companies lowering their prices to access the traditional Mumias sugar markets.

Imports were very minimal due to commitments to EU by the COMESA trading blocs (Swaziland and Illovo Sugar).

Regional Imports from Uganda and Tanzania increased over the period due to the favorable prevailing prices in Kenya. Exports to EU were not favorable due to the low prices in EU of net KShs 3,050 per bag in comparison with the local price of net KShs 4,500 per bag which was far much better.

A total of 66,000 litres of molasses were sold at an average net price of KShs 3,236 per Mt, thus generating total revenue of KShs 248 Million.

Distribution costs during the period stood at KShs 2,500 per tonne against a target of KShs 3,600 per mt. This was as a result of low stocks during the period thus most stocks were on direct deliveries, other measures taken that assisted in reduction of costs were self-collection on bulk sales for some period and closure of Kisumu and Mombasa warehouses.

MSC commissioned and completed a User and Attitude Survey to evaluate sugar market situation in relation to competitive analysis, opportunity analysis, and indicative equity share. The survey also evaluated the market in terms of consumer behavior, changing sugar consumption habits, behavior,

attitudes and perceptions in line with market trends. The key research findings were that Management will continue to utilize market research findings to respond to the changing consumer and market trends.

The company continued utilizing below the line and brand PR activities to sustain consumer engagement and brand awareness. Various activities were rolled out during the period including;

- Natural Sweetness Golf Series with 10 qualifiers in Railways, Thika, Limuru, Sigona, Karen, Muthaiga, Nyeri, Nakuru, Kiambu and Vetlabs.
- Kenya National Drama Festivals where MSC was the title sponsors for the Festival for the 3rd year running
- Bamburi Rugby Super Series where MSC was the franchise sponsor of the Mumias Buffaloes
- Sponsorship of AFC Leopards team
- Utamu Halisi Soccer Challenge

"Mumias Sprinkles" development was completed during the period and the product initial offer test to the market done. Various avenues are being used to obtain feedback on different aspects of the new brand so as to inform launch and route to market.



Managing Director's Statement (cont'd)

HUMAN CAPITAL MANAGEMENT

The total staff establishment as at 30th June 2012 was 1,496 employees comprising of 1,352 permanent and 144 contracted staff. This reflects a variance of 316 out of a total budget of 1,877. Management of staff costs is a major initiative being undertaken.

The company went through some major changes in the top management team. These were necessitated by the need to realign resources to operations following the departure of Dr. Evans Kidero and my appointment as the Managing Director. Mr. Paul Murgor, previously the Director of Agriculture, was re-deployed to the newly created Commercial Department while Mr. Moses Daniel Nyongesa, previously the Outgrowers Services Manager, was appointed to act in the position of Director of Agriculture. The posts of Cartographer/GIS Specialist, Survey Assistant, Company Surveyor, Business System Analyst (SAP) and Ethanol Plant Staff have been filled. Out of the 44 employees hired for ethanol plant - 36 were externally recruited and 8 internally sourced.

The relationship between management and the union was harmonious with the usual

consultations on the Collective Bargaining Agreement (CBA) and welfare matters. Discipline across the company improved. This was due to improved awareness on the disciplinary process and training of shop stewards and line managers on how to handle industrial relations matters. The CBA, for 2011/2013 was concluded and signed for a period of two years on 14th October 2011. Among other things, a general wage increase of 20% was agreed on to be spread over the two year period at 10% for the 1st year and 10% for the 2nd year.

A Job Evaluation for Unionisable jobs was carried out and incorporated in the CBA and fully implemented. The implementation of the said Job Evaluations brought an additional Kenya shillings one million to the wage bill. The outcome of exercise has gone a long way in addressing cases of inequalities in salaries and has enhanced employee morale

Learning and Developmental programmes for staff took place to enhance core capabilities while ensuring that employees possess required skills required for effective performance.

The company continues to offer welfare facilities and medical care to employees and eligible dependants to ensure a healthy and motivated human resource. We continue to actively participate in HIV/AIDs programs having increased awareness through staff training while ensuring wider communication to staff and dependants on same.

Renovations and rehabilitation of several company houses has been ongoing. Construction of the new MSC Office block and the Farmer Care Centre is progressing well and is near completion.

LEGAL ENVIRONMENT AND DISPUTES RESOLUTION

The legal environment has become very dynamic especially with the promulgation of the new constitution which has widened the legal landscape. The new dispensation has created more obligations to individuals and Companies such as ours with many decisions being challenged in courts. It is anticipated that with the onset of devolved governments, the environment is going to be even more challenging. Management is continuously analyzing risks that come with such changes in order to ensure compliance.



Managing Director's Statement (cont'd)

A claim has been filed by Mumias Outgrowers Company (1998) Ltd against the Company and the matter is in arbitration and before the High Court. A constitutional petition has been filed against the Company challenging the company's decision to exercise its right of recovery of some money owed by Busia Sugar Company Ltd. The petition is pending in court.

INFORMATION AND COMMUNICATIONS TECHNOLOGY

ICT continued to collaborate with business systems users in order to identify and exploit opportunities for utilizing technology solutions to solve business problems.

Among the projects completed in the period under review include: business process review/SAP utilization and benefits, use of PDAs for Seedcane delivery confirmation, 100% Seedcane weighing, overtime workflow implementation, automation of product weighbridge, development of ICT infrastructure for Isongo and Shiandukusi field offices, replacement of the Nortel Call Processor, and implementation of Laboratory Information Management System (LIMS).

Other ICT initiatives completed during the period include people development and business process improvement in targeted areas.

Implementation of the following projects was ongoing at the end of the period: SAP Upgrade, Human Capital Management System, Electronic Document Management System (EDMS), Farmer Supplier Relationship Management, Extension of Bulk Payment System, ICT infrastructure extension, Data Storage Consolidation and Server Virtualization, Access Control, and Fleet and Fuel Management System.



QUALITY MANAGEMENT SYSTEM

Internal audits were conducted in the month of May 2012 in accordance with the audit plan. Besides auditing against ISO 9001 Standard, the auditors' monitored progress in closing previously identified nonconformities which were addressed through root cause analysis and the development and implementation of corrective and preventive action plans. The results of internal audits were presented in the form of reports containing information on compliance against the given criteria, nonconformities, improvement opportunities and identification of good practices. The output of the internal audit provided essential input for management to review some operations.

Similarly, the projects started in the period include: SAP Upgrade, Electronic Document Management System (EDMS) implementation, network infrastructure for water plant, ethanol plant, and new office block. User training was achieved in various business technology areas including Agriculture Management System, Laboratory Information Management Systems (LIMS), and SAP. Various internal ICT staff attended

training during the period. Infrastructure (network, servers, and databases) and business systems uptime were well within the SLA target of 98%.

The company is in the process of implementing OHSAS 18001 for improvement in the Safety Health and Environmental Standards.

CONCLUSION AND FUTURE OUTLOOK

The company has developed a Strategic Plan for the period 2012-2017. The areas of focus will be consolidating on our production plants to maximize productivity, improvement in service delivery to farmers for better yields, product diversification and brand equity building, develop a robust enterprise risk management system and ensure that we have the human capital to grow the business.

Thank you and may God bless you.

PETER KEBATI
Managing Director

Ripoti ya Meneja Mkurugenzi



Peter Kebati

Meneja Mkurugenzi

Wanahisa wetu wapendwa:

Nina furaha kuwaletia ripoti hii ya kipindi cha mwaka uliomalizika Juni 30, 2012. Naomba fursa yenu kuangazia maeneo muhimu katika shughuli zetu ambayo yana maana kubwa kwenu kama wanahisa wetu.

TATHMINI KUHUSU UCHUMI

Benki ya dunia ilibashiri kiwango cha ukuaji cha asilimia 5 (5%) mwaka 2012 chini ya mazingira thabiti na mvua za kufana. Uchumi uliendelea kuathirika kutokana na athari za bei za mafuta, kushuka kwa uzalishaji wa kilimo, wasiwasi katika kanda ya Bara Ulaya na ukosefu wa uthabiti katika soko la humu nchini. Masoko ya kifedha ya humu nchini yaliendelea vyema miezi minne ya mwaka na kumaliza mwezi wa Juni yakiwa imara. Soko la hisa la Kenya lilikuwa mojawapo wa masoko ya dunia yaliyofanya vyema kutokana na mahitaji makubwa ya kitaasisi. Mfumuko wa bei za bidhaa uliendelea kushuka chini kutoka asilimia 18 (18%) mwezi Desemba

2011 na hadi asilimia 10.05 (10.05%) mwisho wa mwezi Juni Mwaka 2012. Kwa kutegemea hali hii, viwango vya benki kuu vilikuwa dhabiti, viwango vya riba vikashuka na thamani ya shilingi ya Kenya ikapambana na shinikizo la upungufu wa ukosefu wa sarafu za kigeni. Kwa upande mwingine, kiwango cha ukuaji wa uchumi kilishuka kwa asilimia 3.5 (3.5%) katika muhula wa kwanza.

HALI YA SOKO LA SUKARI

Baada ya kipindi cha miaka mitatu ya upungufu, mnamo mwaka 2011, uchumi wa soko la sukari ulikabiliwa na ongezeko la bidhaa. Pengo baina ya sukari iliyozalishwa ulimwenguni na matumizi ilifikia tani milioni 9.5. Kufikia mwisho wa mwaka 2011, hazina ya sukari duniani iliongezeka kwa tani milioni 7.9 na kufikia tani milioni 79.1 kiasi ambacho ni sawa na asilimia 48.5 (48.5%) ya matumizi ulimwenguni. Utengenezaji wa sukari kimataifa ulimarika kwa tani milioni 14.4 na kuandikisha rekodi mpya ya tani milioni 171.1 Mnamo mwaka 2011, matumizi ya sukari kimataifa yalipungua hadi tani milioni 163.4 na kushuka kwa tani milioni 0.7 ikilinganishwa na mwaka uliotangulia. Matumizi kwa kila mtu duniani yalipungua pia hadi kilo 23.7 ikilinganishwa na kilo 24.1 mwaka 2010. Wakati wa kipindi cha mwaka 2011, bei za sukari duniani zilionyesha kutokuwa thabiti.

Kuhusiana na kanda hii, kuna nafasi kubwa ya biashara ya sukari kwani ni mwigizaji wa kiwango halisi cha bidhaa hii. Eneo ambalo lina nafasi bora ni sekta ya viwanda kwani viwanda vingi eneo la Afrika Mashariki hutegemea sukari iliyoagizwa kutoka mataifa ya nje. Idadi ya watu inaongezeka kwa asilimia 3.3 (3.3%)

na kiwango cha matumizi ya sukari kila mwaka kikiwa asilimia 2 (2%) huku mahitaji yake yakizidi kuongezeka. Kuibuka kwa mikataba mitatu kwa pamoja ya FTA-(EAC COMESA, SADC) kutaimarisha biashara na bidhaa zinazoagizwa kutoka mataifa ya kigeni hata ingawa uendeshaji wa taratibu za kibiashara za mikataba ya FTA utakuwa muhimu kuhusiana na uthabiti wa sekta ya sukari siku za usoni.

Matumizi ya bidhaa ya sukari nchini Kenya yanaendelea kukua kwa haraka na kupiku uzalishaji wake. Uzalishaji wa sukari humu nchini husambaza takribani asilimia 70 (70%) ya jumla ya matumizi. Utabiri wa hapo awali uliofanywa na Halmashauri ya Sukari humu nchini (KSB) unaonyesha kwamba kiwango cha ukuaji cha matumizi ya sukari ni asilimia 4 (4%) kila mwaka. Matumizi ya sukari kwa mtu kila mwaka nchini Kenya ni kilo 16.1. Matumizi ya sukari yanatofautiana kimkoa huku mkoa wa Rift Valley ukiwa na kiwango cha juu cha kilo 23.9 na Mkoa wa Kati kiwango cha chini cha kilo 7.9.

HALI YA KIFEDHA

Kampuni iliandikisha mapato ya jumla ya shilingi bilioni 15.542 ikilinganishwa na bilioni 15.795 na kushuka kwa asilimia 2 (2%) ikilinganishwa na mwaka jana kutokana na kupungua kwa miwa iliyopokelewa na pia ushindani wa sukari kutoka nje.

Faida baada ya ushuru iliongezeka kwa asilimia 4 (4%) hadi bilioni 2, 013 licha ya kuwepo kwa shinikizo la gharama za uzalishaji; uimarishaji na gharama za usafirishaji wa miwa. Mapato kwa kila hisa (EPS) yaliimarika kwa asilimia 5 (5%) kutoka Kshs. 1.26 hadi Kshs. 1.32.

Ripoti ya Meneja Mkurugenzi (Kuendelea)



Rasimali za kudumu ziliongezeka kwa asilimia 21 (21%) kutokana na kukamilika kwa viwanda vya utengenezaji wa ethanol na maji. Kampuni ilikamilisha kipindi hiki cha mwaka ikiwa katika hali thabiti ya mtaji kutokana na usimamizi bora wa mtaji wa utekelezaji kazi.

Uzinduzi wa mikakati ya kufanya mabadiliko ulizidi kuzaa matumaini chini ya mazingira shindani ya kibiashara.

SHUGHULI ZA KILIMO

Kipindi cha kwanza cha kibiashara cha mwaka 2011/12 kilikuwa na uchepe chepe huku kipindi cha pili kikishuhudia upungufu mkubwa wa unyevu nyevu miezi ya Januari, Februari hadi katikati mwa Machi hali ambayo iliathiri pakubwa ukuaji wa miwa. Mwezi wa Februari ulikuwa na kiangazi kikubwa huku milimita 5.1 za mvua zikipokelewa. Mvua zilianza mwezi Aprili na kuwezesha upanzi kutekelezwa maeneo ya chini.

Jumla ya tani 1,917,340 za miwa zilipokelewa kiwango ambacho kilikuwa cha chini kuliko ilivyotarajiwa. Usafirishaji wa miwa uliathiriwa na hali ya anga ya unyevu nyevu hasa miezi ya Oktoba, Desemba na Aprili hadi Juni.

Mavuno ya miwa yalipungua kutoka 55TCH hadi 44.32 TCH katika mashamba ya Nucleus na Outgrowers. Kwa upande mmoja, upungufu huu ulisababishwa na asidi ndani ya mchanga pamoja na ukosefu wa madini ya potassium. Ili kutatua tatizo hili, usimamizi unashirikiana na taasisi ya kilimo nchini (KARI) ili kutafuta aina ya mbolea ambayo itakabiliana na asidi pamoja na kuboresha mchanga ili kuondoa tatizo la upungufu wa madini yanayofaa

Moto ulioteketeza miwa ulikuwa changamoto kubwa wakati wa kipindi cha mwezi Januari huku mwezi Machi ukiathirika vibaya kutokana na hali ya kiangazi. Jumla ya hekta 2,805.02 za miwa ziliteketea katika shamba la Nucleus ikilinganishwa na hekta 2,805.02 mwaka uliotangulia. Uviziaji wa miwa uliongezeka kutokana na kutolewa leseni kwa wasagaji miwa ambao hawana miwa ya kutosha. Jumla ya hekta 2,135.55 zikiwa na uwezo wa uzalishaji wa tani 128,133 za miwa ziliviziwa wakati wa kipindi hiki cha mwaka. Hiki kilikuwa kiwango cha juu ikilinganishwa na mwaka jana ambapo hekta 570 za miwa ziliviziwa. Uviziaji wa miwa umebakia kuwa changamoto kubwa kwa uthabiti wa upatikanaji wa bidhaa hii. Kituo cha ununuzi wa miwa cha Kisoko

kiliendeleza shughuli zake vyema na kimesadia kupunguza gharama za usafirishaji kwa wakulima. Usimamizi ulitekeleza utatifi kuhusiana na uwezo wa kuanzisha vituo kama hivi maeneo ya Mashariki na Kaskazini. Vituo viwili viligunduliwa na tathmini ya kimazingira kufanywa. Vituo hivi vitaanza kutumiwa wakati wa kipindi cha mwaka wa matumizi ya pesa kinachokuja.

Viwango vilivyolegwa vya matayarisho ya ardhi kuhusiana na ulimaji, uchimbaji mitaro na utandazaji vilikosa kuafikiwa. Jumla ya hekta 12,417.34 zililimwa, hekta 9,678.87 zikachimbwa mitaro na hekta 9,638.2 zikatandazwa ikilinganishwa na hekta 12,500 zilizokuwa zimelengwa.

Wakulima wanahimizwa kutembelea eneo la kiwanda ili kufahamu jinsi sukari inavyotayarishwa. Jumla ya ziara/ matembezi 13 yalifanywa ambapo wakulima waliweza kujifunza jinsi miwa inavyopimwa na shughuli nyinginezo kiwandani. Wakati huo, mikutano mingi ya ziada na wakulima wa miwa ilifanyika maeneo mbali mbali ya kanda kama sehemu moja ya kuhamasisha utoaji wa huduma.

SHUGHULI ZA KIWANDA

Kiwango cha sukari iliyozalishwa kipindi cha mwaka 2011/12 ilikuwa tani 174,005 ikilinganishwa na tani 235,812 mwaka 2011. Kiwanda hakikuafikia malengo yake kutokana na kupungua kwa kiwango cha sukari katika miwa, ukosefu wa miwa ya kutosha na kushuka kwa matumizi ya kiwanda.

Kiwanda cha uzalishaji nguvu za umeme kwa pamoja kilizalisha megawati 45, 494 za kawi ambapo megawati 34,154 ziliuzwa na zilizosalia kutumiwa ndani. Kiwanda hiki hakikuafikia malengo yake kutokana na ukosefu wa malighafi na uhaba wa miwa ya kutosha.

Ripoti ya Meneja Mkurugenzi (Kuendelea)

Kiwanda cha kutengeneza ethanol kilizinduliwa mwezi Juni 2012 na jumla ya lita 100,000 kutengenezwa. Kiwanda kinatarajiwa kuzalisha jumla ya lita milioni 22 za ethanol kutokana na molasi ambayo ni bidhaa inayotokana na mabaki ya utengenezaji sukari.

Kiwanda cha kutengeneza maji kilizinduliwa na jumla ya lita 120,000 za maji zikatayarishwa kufikia mwisho wa mwaka. Alama ya maji ni "Mumias Sprinkles" na tayari iko masokoni. Bidhaa hii imepokelewa vyema masokoni.

Uwezo wa kiwanda ulimarishwa kutokana na ukarabati wa vichemsha maji vikubwa kwa uzalishaji wa mvuke zaidi. Maeneo ambayo hayakutegemewa wakati wa kipindi hiki cha mwaka yaliangaziwa wakati wa ukarabati. Gharama za kiwanda zilithibitiwa hata ingawa gharama kwa kila kitengo cha uzalishaji zilikuwa za juu kutokana na viwango vya chini vya uzalishaji. Thamani ya sukari itakuwa thabiti baada ya kuzinduliwa kwa kiwanda cha kuimarisha rangi.

Kulikuwa na kisa cha moto mnamo Machi 19, 2012 katika ghala la "bagasse" moto ambao ulikabiliwa na kuthibitiwa. Madai yamewasilishwa kwa kampuni inayosimamia huduma za bima. Wakati huo, maswala ya kimazingira yanaangaziwa kote chini ya maadili muhimu ya kampuni ya MSC.

SHUGHULI ZA KIBIASHARA

Wakati wa kipindi cha mwaka, metriki tani 172,063 za sukari ziliuzwa. Sukari iliyo na alama ya kampuni iliwakilisha asilimia 31 (31%) ya jumla ya mauzo dhidi ya asilimia 40 (40%) hili likiwa ongezeko la asilimia 3 (3%) ikilinganishwa na mwaka uliotangulia. Wakati wa kipindi hiki, sukari kutoka mataifa jirani ya Uganda na Tanzania iliingizwa nchini kwa bei ya chini na hivyo

kuchangia kushuka kwa bei za sukari humu nchini. Kiwango cha jumla cha wastani cha bei ya mauzo cha Kshs. 85,885 kiliafikiwa dhidi ya malengo ya Kshs. 65,000 kwa metriki tani.

Bei katika masoko ya reja reja ya sukari iliyo na alama ya kampuni ilisalia kuwa thabiti baina ya Kshs. 120 hadi 150 kwa kilo huku sukari iliyopakiwa upya ikiuzwa kwa bei ya wastani ya Kshs. 115 kwa kilo. Bei za sukari kwa viwango vikubwa (bulk) iliendelea kushuka kutoka Kshs. 5,500 kwa gunia na kufikia Kshs. 4,400 mwishoni mwa kipindi. Kimataifa, katika soko la Umoja wa Ulaya, bei za sukari ziliuzwa baina ya dola 650 kwa metriki tani hadi dola 600 kwa metriki tani. Kuingia kwa wasagaji wapya, kulipelekea ushindani kugemea katika bei za sukari kwa kiwango vikubwa huku makampuni mengi yakiteremsha bei zao ili kupenya katika masoko ya kawaida ya MSC.

Uagizaji wa sukari kutoka mataifa ya kigeni ulikuwa mdogo kutokana na utiifu wa masharti kutoka mataifa ya kibiashara ya COMESA (Swaziland na Illovo Sugar). Uagizaji wa sukari kutoka mataifa ya Uganda na Tanzania uliongezeka wakati wa kipindi hiki kutokana na bei za kufana nchini Kenya. Uzaji wa sukari katika soko la Umoja wa Ulaya haukuwa mzuri kutokana na bei za chini katika masoko hayo za Kshs. 3,050 kwa kila gunia ikilinganishwa na bei ya humu nchini ya Kshs. 4,500 kwa kila gunia bei ambayo ilikuwa nafuu. Jumla ya lita 66,000 za molasi ziliuzwa kwa kiwango cha bei ya kadiri ya Kshs. 3,236 kwa kila metriki

tani na hivyo kuzalisha mapato ya jumla ya Kshs. milioni 248.

Gharama za usambazaji wakati wa kipindi hiki zilikuwa Kshs. 2,500 kwa kila tani dhidi ya kiwango kilicholengwa cha Kshs. 3,600 kwa kila metriki tani. Hii ilitokana na kiwango cha chini cha bidhaa wakati wa kipindi hiki kwani bidhaa nyingi ziliwasilishwa moja kwa moja. Mbinu nyingine zilizochukuliwa ambazo zilisaidia kupunguka kwa gharama zilikuwa uchukuaji binafsi wa bidha za viwango vikubwa kwa muda na kufungwa kwa mabohari ya Kisumu na Mombasa.

MSC ilizindua na kukamilisha utafiti kuhusu matumizi na mtazamo ili kutathmini hali ya soko la sukari kuhusiana na uchanganuzi wa ushindani, uchanganuzi wa nafasi na nafasi ya umiliki wake. Utafiti huu pia ulichanganua soko kufungamana na mienendo ya wateja, mabadiliko kuhusu matumizi ya sukari, mienendo na dhana kuhusiana na mielekeo ya masoko. Matokeo muhimu ya utafiti yalionyesha kwamba:



Ripoti ya Meneja Mkurugenzi (Kuendelea)



- Mienendo ya wateja inaashiria kujihami kwao nyakati ngumu za maisha hivyo nia ya kuwa na viwango vya bidhaa iliyofungwa katika mifuko midogo
- Mumias Sugar inazidi kumiliki nafasi kwenye masoko kwa asilimia 40 (40%) na ufahamu kwa asilimia 85. (85%)
- Bei ni kigezo muhimu cha uchaguzi wa bidhaa huku ubora na upatikanaji wake zikichangia pakubwa.
- Ukosekanaji na uhaba wa sukari umesababisha mabadiliko ya mienendo ya matumizi na wateja kutumia bidhaa mbadala hasa asali.
- Kuna ukuaji wa maana wa bidhaa zilizo na alama ya wauzaji wakuu wa reja reja ikiwemo Nakumatt, Tuskys, Ukawala na Uchumi.

- Mashindano ya kitaifa ya drama ambapo kampuni ya MSC ilikuwa mfadhili wa mashindano haya kwa mwaka wa tatu mfululizo
- Mashindano ya mchezo wa mpira wa mikono (ragbi) ya Bamburi Rugby Super Series ambapo MSC ilikuwa mfadhili maalumu wa Mumias Buffaloes
- Ufadhili wa timu ya mpira wa soka ya AFC
- Shindano la soka la Utamu Halisi Challenge.

Shughuli ya **Mumias Sprinkels** ilikamilika kipindi hiki na toleo la kwanza la bidhaa kwenye masoko likafanyika. Mbinu mbali mbali zinafanywa kupata maoni kuhusiana na mielekeo mbali mbali ya bidhaa mpya ili kutoa ufahamu kuhusu uzinduzi na njia za kwenye masoko.

Usimamizi utaendelea kutumia matokeo ya utafiti wa masoko ili kukabiliana na mabadiliko ya mahitaji ya wateja na mienendo ya masoko.

Kampuni iliendelea kutumia mbinu za chini na shughuli za uhusiano bora ili kudumisha uhusishaji wa wateja na ufahamu kuhusu bidhaa. Shughuli mbali mbali zilizinduliwa wakati wa kipindi hiki zikiwemo;

- Misururu ya mashindano ya gofu huku kukiwa na wachezaji 10 waliofuzu kutoka Railways, Thika, Limuru, Sigona, Karen, Muthaiga, Nyeri, Nakuru, Kiambu na Vetlabs.

USIMAMIZI WA MASWALA YA WAFANYAKAZI

Kufikia Juni 30, 2012, idadi ya wafanyakazi ilikuwa 1,496 wakiwemo 1,352 wa kudumu na 144 wa kandarasi. Hili lilikuwa pengo la watu 316 dhidi ya bajeti ya 1,877. Usimamizi wa gharama za wafanyakazi ni mkakati muhimu unaotekelezwa.

Kampuni ilishuhudia mabadiliko makubwa katika usimamizi wa ngazi ya juu. Mabadiliko haya yalitokana na haja ya upangaji upya rasimali hadi utekelezaji baada ya kuondoka kwa Dkt. Evans Kidero na kuteuliwa kwangu kama Meneja Mkurugenzi. Bw. Paul Murgor ambaye hapo awali alikuwa Mkurugenzi wa kilimo aliamishwa hadi idara mpya ya ustawi wa Uchumi huku Bw. Moses Daniel Nyongesa ambaye zamani alikuwa Meneja wa Outgrowers akiteuliwa katika nafasi ya Mkurugenzi wa Kilimo. Tayari nafasi za msanifu wa ramani/ mtaalamu wa GIS, msaidizi wa soroveya, soroveya wa kampuni, mtathmini wa biashara (SAP) na afisa wa kiwanda cha Ethanol zimejazwa. Miongoni mwa maafisa 44 walioajiriwa katika kiwanda cha ethanol, 36 walitoka nje na wengine 8 wakaajiriwa kutoka ndani.



Ripoti ya Meneja Mkurugenzi (Kuendelea)

Uhusiano baina ya usimamizi na maafisa wa chama kinachotetea maslahi ya wafanyakazi ulikuwa mzuri kupitia mashauriano ya kawaida ya makubaliano ya pamoja (CBA) na maswala ya kimaslahi. Nidhamu katika kampuni iliimarika. Hii ilitokana na uimarishaji wa ufahamu kuhusu taratibu za kinidhamu na utoaji mafunzo kwa wahudumu wa maduka na mameneja kuhusiana na mbinu za kukabiliana na maswala ya uhusiano bora kikazi. Mkataba wa makubaliano ya pamoja (CBA) wa Mwaka 2011/2013 ulikamilika na kutiwa sahihi kwa kipindi cha miaka miwili mnamo Oktoba 14, 2011.

Miongoni mwa mambo mengine yalikuwa ni pamoja na makubaliano ya nyongeza ya jumla ya mishahara ya asilimia 20 (20%) itakayosambazwa kwa kipindi cha miaka miwili huku asilimia 10 (10%) ikitekelezwa mwaka wa kwanza na asilimia nyingine 10 (10%) mwaka wa pili.

Tathmini ya kazi kwa wanachama wa chama kinachotetea maslahi ilifanyika na kuhusishwa katika CBA. Utekelezaji wa tathmini iliyotajwa ulipelekea kuongezeka kwa kiwango cha shilingi milioni moja kwenye gharama za mishahara. Matokeo ya zoezi hili yametatua swala la ukosefu wa usawa wa mishahara na kuhamasisha ari ya wafanyakazi.

Mipango ya utoaji mafunzo na maendeleo kwa wafanyakazi ilitekelezwa kuimarisha uwezo wao na kuhakikisha kwamba wafanyakazi wamepata elimu inayohitajika ili kuimarisha matokeo yao.

Kampuni inaendelea kuzingatia maslahi ya wafanyakazi na huduma za matibabu kwa wafanyakazi na wale wanaowategemea kuhakikisha uwepo wa wafanyakazi wenye afya na wenye ari. Tunazidi kushiriki kikamilifu kwenye mipango ya HIV/AIDS kwa kuimarisha ufahamu



kupitia utoaji mafunzo kwa wafanyakazi huku tukihakikisha kwamba tumepanua mawasiliano kwa wafanyakazi na wanaowategemea.

Ukarabati na urekebishaji wa baadhi ya nyumba za kampuni umekuwa ukiendelea. Ujenzi wa jumba litakalokuwa na ofisi mpya za MSC na kituo cha kuwahudumia wakulima unaendelea vyema na unakaribia kukamilika.

MAZINGIRA YA KISHERIA NA UTATUZI WA MIZOZO

Mazingira ya kisheria yamekuwa magumu sana hasa baada ya kupitishwa kwa katiba mpya ambayo imepanua uwanja wa kisheria. Uzinduzi wa katiba mpya umeongeza wajibu kwa watu binafsi na makampuni kama hii yetu huku maamuzi mengi yakipingwa kortini. Inatarajiwa kwamba kwa kuingia kwa serikali ya ugatuzi, huenda mazingira yakawa magumu zaidi. Usimamizi unaendelea kutathmini hatari zinazosababishwa na mabadiliko kama haya ili kuhakikisha kwamba inazingatia kanuni.

Madai yamewasilishwa na chama kinachowakilisha maslahi ya wakuzaji miwa (MOCO 1998 Ltd) dhidi ya kampuni na swala kuwasilishwa mbele

ya mahakama kuu. Kesi imewasilishwa dhidi ya kampuni kupinga uamuzi wake kutekeleza uwezo wake kudai baadhi ya pesa inazodai kampuni ya sukari ya Busia Sugar Company Limited. Ombi hili liko mahakamani.

TEKNOLOJIA YA HABARI NA MAWASILIANO

ICT iliendelea kushirikiana na watumiaji wa mifumo ya kibiashara kusudi kutambua na kuandama nafasi za matumizi bora ya masuluhisho ya teknolojia katika utataji wa matatizo.

Miongoni mwa miradi iliyokamilishwa wakati wa kipindi kinachochanganuliwa ni pamoja na : uchanganuzi wa harakati za kibiashara/Matumizi bora na manufaa ya SAP, matumizi ya PDAs kuthibitisha kama Mbegu ya miwa imewasili, asilimia 100 katika upimaji wa Mbegu ya miwa, utekelezaji wa mtiririko wa kazi katika masaa ya ziada, ufanyaji mashini ya kupima uzito wa miwa kujiendesha yenyewe, uimarishaji wa miundomsingi ya ICT katika afisi za nyanjani za Isongo na Shiandukusi, kubadilisha kwa Mashini ya Nortel Call Processor, na utekelezaji wa Mfumo wa Usimamizi wa Habari katika Maabara (LIMS).

Ripoti ya Meneja Mkurugenzi (Kuendelea)

Mipango mingine ya ICT iliyokamilika kipindi hiki inajumuisha ustawi wa binadamu na harakati ya uimarishaji wa biashara katika maeneo lengwa.

Utekelezaji wa miradi ifuatayo ulikuwa bado unaendelea mwishoni mwa kipindi hicho; Uimarishaji wa SAP, Mifumo ya Kusimamia Utendakazi wa Kibinadamu, Mifumo ya Usimamizi wa Nakala Kielektroniki (EDMS), Usimamizi wa Mahusiano ya Mawasilisho ya Wakulima, Upanuzi wa Mfumo wa Malipo Makubwa, Upanuzi wa miundomsingi ya ICT, Uunganishaji wa Hifadhi ya Data na Ufanyaji Dhahania wa Mtandao Mkuu (Server), Udhibiti wa Njia Kuu (Access Control), na Mfumo wa Kusimamia Magari na Mafuta yake.

MFUMO WA KUSIMAMIA UBORA

Ukaguzi wa ndani wa hesabu za fedha ulifanyika mwezi wa Mei 2012 kulingana na mpango wa ukaguzi wa hesabu. Kando na ukaguzi wa hesabu kulingana na Viwango vya ISO 9001, wakaguzi walifuatilia harakati hiyo kusudi kuziba dosari zilizokuwa zimejitokeza hapo awali ambazo zilikabiliwa kupitia uchanganuzi

wa kiini cha kutokea kwazo na uimarishaji mbali na utekelezaji wa hatua madhubuti za kurekebisha na kuzuia. Matokeo ya ukaguzi wa ndani yaliwasilishwa katika hali ya ripoti zilizokuwa na habari kuhusiana na mikakati iliyotolewa, ukosefu wa kutii masharti, nafasi za kujiimarisha na utambuzi wa mienendo mizuri. Matokeo hayo ya ukaguzi wa ndani yalitoka mchango muhimu katika usimamizi kuchanganua shughuli mbalimbali.

Vilevile, miradi iliyoanzishwa katika kipindi hicho inajumuisha: Uimarishaji wa SAP, Utekelezaji wa Mfumo wa Usimamizi wa Nakala Kielektroniki (EDMS), miundomsingi ya mtandao wa kiwanda cha maji, kiwanda cha ethanol, na jengo jipya la afisi. Mafunzo ya utumiaji yalitimizwa katika fani mbalimbali za teknolojia ya biashara ikiwemo Mfumo wa Usimamizi wa Kilimo, Mifumo ya Usimamizi wa Habari za Maabara (LIMS), na SAP. Wafanyakazi wengi wa ICT kiwandani walihudhuria mafunzo kipindi hiki. Hali ya miundomsingi (mitandao, Sava, na hifadhi-ya-data) pamoja na mifumo ya biashara ilikuwa kwenye viwango bora vilivyolenga SLA, kwa asilimia 98 (98%).

Kampuni hii imo katika harakati ya kutekeleza OHSHAS 18001 ikiwa namadhumuni ya kujiimarisha katika Viwango vya Mazingira na usalama wa afya.

HITIMISHO NA MTAZAMO WA SIKU ZA USONI

Kampuni imeandaa mkakati wa maendeleo kwa kipindi cha Mwaka 2012 hadi 2017. Maeneo yanayoangaziwa yatakuwa ni kuweka pamoja viwanda vyetu vya uzalishaji ili kutumia vyema nafasi ya uzalishaji, kuimarisha utoaji huduma kwa wakulima ili kupata mavuno bora, upanuzi wa bidhaa na kuimarisha nafasi ya umiliki wa bidhaa, kuandaa mfumo imara wa kukabiliana na hatari za kibiashara na kuhakikisha kwamba tuna mtaji wa wafanyakazi ili kukuza biashara.

Asanteni na Mungu Awabariki.

Peter Kebati
Meneja Mkurugenzi



Corporate Social Responsibility

Mumias Sugar Company has been involved in a cross section of diverse corporate social responsibility activities broadly touching on environment, social and economic interventions.

MSC has been involved in activities ranging from education, health, sports, environmental activities that have been directed at the community and country at large. Thus during the period CSR continued to remain an integral part of the operations at Mumias.

EDUCATION

MSC has invested resources in providing access to quality education and empowering the youth with knowledge. The company has achieved this in a number of ways.

Elimu Trust

The company continues to fund Elimu Trust which deals with the support of the Booker Academy, Mayoni Primary School, Mumias Central Primary school and Mumias Complex Primary School.

The company runs a bursary scheme which it started in 2005. By 2012, 165 beneficiaries have gone through secondary education having been fully catered for by the MSC school bursary. In 2012, 20 new bursary awards were awarded to students with special needs.

MSC made contributions to school infrastructure and facilities in improvement with the notable contributions in the construction of a dormitory at St Peter's High School, construction of a toilet block at St

Mary's Girls Mumias and a donation of 20 computers to St Peter's Boys. The company also supported various book harvest activities for schools including Muslim Girls, Mwitoti Secondary School and St Mary's Girls.

Special Needs Schools Support

In an effort to bring to light the abilities and challenges faced by students in Special Needs Schools, Mumias Sugar Company organized a special sports extravaganza bringing together 34 schools from the four



needy categories. The four include Hearing Impaired, Visually Impaired, Mentally Challenged and Physically Challenged. The event attracted over 5,000 participants including the special school teachers and parents from across the Mumias cane zone. The students participated in various sporting activities. Through the event MSC also provided an opportunity to the special schools to showcase their talents in knitting, pottery, carving, and tailoring.

ENVIRONMENT

MSC continues to actively engage in environmental conservation and management programmes as its contribution to cleaner and better environment so as to deliver on environmental concerns other than the social and economic considerations.

This year, Mumias Sugar joined the World in the celebration of the World Environment Day on 5th June 2012. The theme for this year was 'Green Economy: Does it include you'.

The Company embarked on a weeklong awareness creation towards Environment protection and conservation. The company initiated activities such as tree planting, community clean ups and consultative forums with employees and residents on issues such as waste management and water conservation. Students from Booker Academy, Mumias Complex and Central Primary Schools were involved in the cleanup exercise and tree planting to give them a sense of ownership.

Mumias Sugar Company's Carbon Footprint

The company continues to develop internal systems and structures to reduce waste and emissions from the company's operations products and facilities and find sustainable solutions for natural resource use to facilitate reduction of adverse impact on the environment in the long run.

Mumias signed an agreement with Japan Carbon Finance (JFC) to sell its certified carbon reductions commonly known as CERs-the equivalent of carbon dioxide



Corporate Social Responsibility (cont'd)



displaced annually. The generation of thermal power using oil which is a major pollutant and contributor to the Greenhouse Effect (GHE).

As commitment and conscious contribution to environment Mumias continues generate power from bagasse a waste biomass product from its extraction process, thus displacing and replacing the use of fossil fuel to generate power. An energy balance initiative has been commissioned aimed at improving energy consumption to further enhance the export of green energy to the national grid.

The company's annual production of 130,000toness of CERs is its contribution to the global efforts on climate change

Waste Management

The Company's waste management processes are governed by NEMA regulations. During the year there were no reported non-conformities with NEMA requirements on waste management.

Afforestation and other environmental initiatives

The initial target of planting 100,000 tree seedlings within the Mumias Sugar Zone by June 30, 2012 was surpassed by over 4,000 seedlings after we involved schools, youth and women groups, faith based organizations and member of the public in tree planting. School children were encouraged each to adopt a tree as a way of ensuring sustainability.

A joint clean-up exercise involving Company staff, Mumias Municipal Council Staff, Shibale Environmental Programme and Shibale Business Community was carried out at Shibale Market during the period under review.

HEALTH

Contribution to St Marys Hospital

In an effort to supplement effects from both public sector health gains, MSC offers support to St Mary's Hospital, a facility that assists the community in the cane zone. Sometimes when called upon during emergencies by MoH or St Marys Hospital, we provide ambulance services for evacuation MSC Maternal Child Health and Family Planning Clinic

This clinic basically serves the surrounding community in terms of immunization & growth monitoring of children, family planning activities, ante-natal care for pregnant women, VCT services and comprehensive care centre for HIV positive clients.

The Social Services team based at the Mother Child Health Clinic are involved in various community activities requiring counseling, children's department, gender issues, domestic violence, etc.

Mumias Staff Social Responsibility Contributions

The company has mobilised staff to volunteer within the communities on environmental

conservation, community initiatives and natural disaster response such as famine relief.

The company's medical staff provide training to nursing students at St. Mary's. This subsidizes costs on hiring lecturers so that tuition fees can be affordable to parents. This contribution has seen 200 clinical officers trained and deployed to health institutions in Western, Nyanza, Rift Valley and Central provinces.

The medical team has also been involved in health activities run by Ministry of Health especially during World Breast Feeding Day and national immunization days where the company also supports activities by providing equipment.

MSC HIV/AIDS Support Initiatives

In 2008 MSC in partnership with the Lake Victoria Basin embarked on a baseline survey to find out the status of the MSC HIV/AIDS Initiative. This was to identify the level of awareness among the various stakeholders including the employees, contractors and the surrounding community including cane cutters, farmers.

In 2010 Interviews were carried out in sample populations to seek views of the initiatives done by MSC and the prevalence rate of HIV in the community. These interviews results which were made available in 2011, helped in identifying information gaps which would then be addressed. The key areas of concern involved the;

- Constitution of a committee to address these issues
- Draw a work plan with targets
- Development of the HIV policy.
- Trained on HIV/AIDS

In February the Lake Basin gave a grant of 893,452 to facilitate the plans.MSC would on the other hand facilitate the dissemination of the results to the MSC work force, the security workforce, cane weeders, cutters and the community at large. This activity was carried out alongside the provision of VCT awareness and services, condom distribution to the same publics.

The HIV policy has since been developed where MSC facilitated in the publishing of 2000 copies. The company also launched

the policy in the community and facilitated training for the various samples amongst all publics in the Zone.

Butula and Matungu. The tournament ran for 8 weeks with finals held at the Mumias Sports Complex.



Malaria Prevention

The company continued with efforts to prevent malaria cases among the employees. In partnership with public health officials in Mumias, awareness sessions were held among residents and distribution of mosquito nets. The fogging and larvicidal application activities were also intensified which resulted in reduction of malaria by 15% compared to previous year.

NURTURING TALENT

As part the company's efforts of talent identification, nurturing and development, various youth activities were sponsored by the company. This included support to the National Music and Drama Festivals as the title sponsor for both events, sponsorship of various sporting activities including franchise sponsorship of Western Kenya rugby team named Mumias Buffaloes for the Bamburi super series and also continued with the Club sponsorship of the AFC Leopards.

The highlights of youth programs support was the Utamu Halisi Soccer tournament specifically targeting the cane growing zone. This was an effort by the company to not only nurture talent but also support teams and players at the grass root level of age bracket between 16 – 23 years. The event involved all Districts in the cane zone and attracted 1200 youth drawn from Mumias, Kakamega, Bumula, Bungoma, Teso, Busia, Siaya, Ugenya, Butere, Khwisero, Nambale,

of employees in safety activities through consultative committees. Contractors' safety management processes were enhanced right from recruitment to on-the-job safety monitoring which led to huge improvements on safety performance. Annual employee medical surveillance was undertaken and controls reviewed in order to minimize occupational exposure issues.

The company celebrated the World Safety Day on 28th April 2012 with a week long occupational health and safety promotional activities being undertaken. This included occupational health and safety talks being delivered to employees by fellow employees. During this period a total of 3,509 cane cutters were trained on job hazards and safety at their workplace. Plans are underway to implement a formal safety management system (OSHAS 18001) which will see the company significantly improve its safety practices in all the operations.

Road Safety

The number of road accidents reported by employees declined from 54 reported in 2011 to 26 during 2012. Defensive driving training was undertaken for 50 of the company drivers and motor cycle riders. Awareness sessions were also held with the boda boda operators operating within the Mumias Sugar Zone on road safety matters and this has resulted in a decline in boda boda and motor cycle related accidents within the zone. The company also conducted road safety awareness programs among its cane haulage contractors. This is expected to result in reduced incidents recorded and a reduction in the magnitude of the impact of any incident that may occur.

Other activities carried out during the district level tournaments were life skills training for the players and HIV counselling and testing, these were facilitated by MSC medical team in. Tree planting exercises were also carried out in the schools where the tournaments were held. During the 2011/12 event 6 youth were scouted and placed in the Kenya Premier League teams

OCCUPATIONAL HEALTH & SAFETY

In 2012 Mumias Sugar Company reported no fatality in its operations. Overall Employee Lost Time Frequency Rate (LTIFR) improved to 0.31 compared to 0.35 in the previous year. The improvement was mainly due to enhanced safety improvement activities which included in-house training, development of safe systems of work and involvement



Corporate Governance Statement

Board Oversight: Mumias Sugar Company Limited's oversight responsibility is placed with the Board in compliance with statutory and regulatory requirements. The Board is independent and discharges its mandate at arm's length from other operations of the Company. All the Members of the Board, except the Managing Director, are independent thus enabling the Board to provide independent oversight as well as strategic challenge to Management in the implementation of the Company's strategies. The current Board has the appropriate blend of skills ranging from engineering, economics, business administration, human resources, finance etc. the synergy in these skills is continuously directed in the much needed oversight for value addition. The Board has not yet received the required gender balance. This issue has been a subject of discussion in Board meetings hence it is desired that shareholder elect appropriate candidates to ensure the required balance. To effectively discharge this mandate, the Board has devolved its responsibilities to Board. The Board discharges its responsibilities through regularly scheduled meetings and ad-hoc meetings. During the period under review, the Board held 7 meetings.

Board Meeting Attendance

Name of Director	Full Board	BHRSC	BAC	BTC
Mr. John Bosse	7/7	2/8	1/5	NA
Dr. Evans Kidero	7/7	5/8	2/5	3/3
Mr. Peter Kebati	6/7	5/8	3/5	3/3
Mr. James Chege	7/7	2/8	1/5	3/3
Mr. K. Gatabaki	6/7	5/8	2/5	NA
Mr. F. Kigen	7/7	8/8	3/5	NA
Mr. E Mukabanah	7/7	8/8	NA	2/3
Mrs. E Koimett	6/7	8/8	3/5	NA
Mr. J. Mruttu	4/7	1/8	NA	3/3
Mr. S Bunyasi	7/7	4/8	3/5	NA
Ms. S. Serem	5/7	7/8	NA	NA
Mr. M. Juma	3/7	NA	NA	NA
Mr. Coutts Otolo	4/7	3/8	5/5	NA
Hon. Amos Wako	4/7	NA	NA	NA

Notes:

Effective 2nd December 2011, Mr. Maurice Robert Juma resigned as a Director of the Company.

Effective 2nd December 2011, Mr. Coutts Otolo was appointed as a Director of the Company.

Effective 13th April 2012 Mr. Kungu Gatabaki signed as a Director of the Company.

Board Committees

The Board discharges its oversight responsibility through Board Committees. There are three main Committees of the Board namely, Board Human Resources and Strategy Committee, Board Audit and Risk Committee and Board Tender Committee. The membership of the Committees is as indicated on page 6 of this Report.

Directors' benefits and loans

All the Non – executive Directors have continued to receive their Directors' fees as approved by Shareholders. The aggregate amount of Directors' emoluments is disclosed in Note 33 to the Financial Statements. The Directors are not entitled to receive loans from the Company

Executive Management Team: The Managing Director, as the leader of the Executive team, is responsible for effectively and efficiently managing the resources of the Company on behalf of the Board and delivering value for the shareholders through implementation of the strategy and policies of the Company as approved by the Board. The core mandate of the Executive Team is to efficiently and effectively convert the resources of the Company in order to deliver the strategic outcomes of the Company, develop initiatives that are customer focused and to inspire confidence and trust with all stakeholders both internally and externally. Currently the Managing Director leads a team of nine

Corporate Governance Statement (con'd)

Executive Directors who manage the strategic business units of the Company namely, Agriculture Operations, Factory Operations, Human Resources, Information Technology, Commercial Operations, Marketing and Corporate Affairs, Legal Affairs and Compliance, Finance and Health Safety and Environment. The Executive Team meets fortnightly to report on progress on various operational issues in the different business units.

Internal interaction between the Board and Executive Management: The Board works closely with the Executive Management Team to formulate the Company's strategy which is then approved by the Board once all the parameters have been agreed. Whereas delivery of the Company's strategy is the responsibility of the Executive Team, the governance of the processes and performance monitoring is the responsibility of the Board. During the period under review, the Board met the Executive Team and senior managers to formulate and approve a Strategic Plan that will guide the direction of the Company in the next five years. The result of the meeting was a fundamental shift in the manner in which the strategy will be implemented over the Plan period. The Board also held another meeting with the Executive Team and Senior Management wherein Management presented projections for the next financial year.

Remuneration: The Board's Human resources and Strategy Committee is responsible for determining and agreeing on policy framework for the remuneration of the Company's Managing Director, Executive directors and Senior Management staff. The remuneration policy is structured in a way that is aimed at encouraging high performance as well as rewarding individuals for their contribution to the success of the Company. The remuneration package relating to the non-executive directors is approved by the shareholders in the annual general meeting. The quantum and component for remuneration of non executive directors is disclosed in the annual report for the year ended 30th June, 2012. The executive directors being employee, their remuneration is disclosed in the staff expenses as disclosed in the annual report.

Governance changes in 2011-2012: The period witnessed transitional changes in the operations of the Company. At the Board level two of the long serving Directors, Kungu Gatabaki and Maurice Juma exited from the Board on resignation and retirement respectively. Mr. Juma retired from the Board during the Annual General Meeting of the Company held in December 2012. He was replaced to the Board by Mr. Coutts Otolo while Mr. Gatabaki resigned from the Board in April 2012. Exit of long serving directors from the Board creates an opportunity for the Board to be rejuvenated.

Key changes were also made at the Management level. Dr. Evans Kidero, who had served the Company from 2003 as the Managing Director left the Company to pursue other interests. Dr. Kidero was replaced by Mr. Peter Momanyi Kebati, formally the Finance Director, following a rigorous interview process. Mr. Paul Murgor, previously the Director of Agriculture, was re-deployed to the newly created Commercial Department while Mr. Moses Daniel Nyongesa, previously the Outgrowers Services Manager, was promoted to the position of Director of Agriculture. Mr. Humphrey Musumba, previously the Chief Internal Auditor, left the Company upon attainment of the retirement age. In order to enhance systems of control and the general risk reporting profile, the Board took a strategic decision to outsource the internal audit function in order to have independent reporting. The benefits of this decision have started to bear fruits. These changes are aimed at maximizing the contribution of business units and providing better alignment of resources to the Company's current and future strategy.

Governance of Stakeholders Relationships: The Company and the Board are committed to maintaining constructive relationships with all its stakeholders. Communication with all stakeholders is open. The Company announced its financial results for the first six months in February 2012. The results were widely published in the local dailies as well as posted on the Company's website. This report provides a balanced and clear assessment of the company's performance and prospects including key achievements and strategies for the future.

General communication on various issues is posted on the Company's website for access. Information relating to the AGM is communicated to the shareholders prior to the meeting and on a timely basis and reports availed to them to ensure that they are fully informed and are able to contribute to the meeting effectively. The Board has continuously set aside time for shareholders questions during AGMs on matters pertaining to the Company's performance.

Corporate Governance Statement (con'd)

Governance of Risks: The Board recognizes its responsibility of maintaining a sound risk management system and internal control system in order to safeguard the shareholders investment and company's assets. In ensuring that issues of risk management are effectively handled, the Board has approved an Enterprise Risk Management Framework which addressed the following key elements:

- An effective control environment
- An effective way to identify, asses and manage risks
- Effective internal control procedures and
- Effective co-sourced internal audit function

Internal Audit Function and External Independent Auditors

The Board co-sourced the internal audit function by appointing PriceWaterhouseCoopers as the Company's internal auditors. The firm is independent of the activities of the Company and internal audits conducted are impartial. Reports arising from this audit are presented to the Executive Committee, the Board Audit Committee and the Board on a regular basis. During the year, the Board received two reports from the auditors on operational control audits. The external auditors for the period were Deloitte & Touché as appointed by the Shareholders in the Annual General Meeting held on 2nd December 2011.

Chief Financial Officer

During the period under review, the Financial Director was Mr. Peter Momanyi Kebati. Following the appointment of Mr. Kebati to the position of Finance Director, the Board, through the Board Human Resources and Strategy Committee, commenced the process of identifying a suitable Finance Director through a competitive process. The Board appointed Mr. Chris Chepkoi as the new Finance Director on 17th September 2012.

Compliance with laws and regulations

The Board has continuously ensured that the Company complies with applicable laws and rules and regulations including non-binding standards. The Company has an approved Compliance Policy that guides Management in this process. This is necessary in view of the ever changing legal environment. During the year one legal and compliance audit was undertaken using external consultants to gauge the level of compliance. There exist policies, codes and procedures that help in guiding the conduct of business and relationships in the Company.

In all, the Company and the Directors are committed to upholding the highest standards of good corporate governance throughout the operations.

Report of the Directors

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2012.

PRINCIPAL ACTIVITIES

The principal activities of the company are the production and sale of sugar, ethanol, water and the generation and sale of electricity.

	Shs'000
RESULTS	
Profit before taxation	1,764,029
Taxation credit	248,650
Profit for the year	<u>2,012,679</u>

DIVIDENDS

The directors recommend a first and final dividend of Shs 0.50 per share (2011: Shs 0.50) totalling Shs 765 million (2011: Shs 765 million) in respect of the year.

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2012	1,917,340	172,614
2011	2,245,281	235,812
2010	2,318,080	235,792
2009	2,161,031	231,014
2008	<u>2,408,141</u>	<u>265,263</u>

DIRECTORS

The current directors of the company are listed on page 6.

Dr Evans Kidero retired as Managing Director on 30 June 2012 and was replaced by Mr Peter Kebati on the same date. Mr Maurice Juma retired on 2 December 2011 and was replaced by Mr Coutts Otolo on the same date. Mr. Kungu Gatabaki resigned from the Board on 13 April 2012.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act.



BY ORDER OF THE BOARD

Secretary
30 August 2012
Mumias

Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



Director



Director

30 August 2012



INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Mumias Sugar Company Limited, set out on pages 39 to 84 which comprise the statement of financial position as at 30 June 2012, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

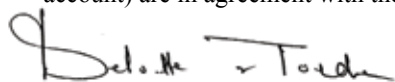
Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 30 June 2012 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.



Certified Public Accountants (Kenya)

30 August 2012

Nairobi

Statement of Comprehensive Income

For the Year Ended 30 June 2012

	Note	2012 Shs'000	2011 Shs'000
Revenue	4	15,542,686	15,795,300
Fair value gain/(loss) on biological assets	16	5,678	(6,445)
Operating income		15,548,364	15,788,855
Cost of sales		(11,060,657)	(10,342,125)
Gross profit		4,487,707	5,446,730
Other operating income		133,031	106,233
Marketing and distribution costs		(733,345)	(1,164,570)
Administrative expenses		(1,567,202)	(1,148,041)
Other operating expenses		(825,547)	(443,073)
Finance income	5(a)	411,023	144,831
Finance costs	5(b)	(141,638)	(295,535)
Profit before taxation	6	1,764,029	2,646,575
Taxation credit/(charge)	8	248,650	(713,350)
Profit for the year		2,012,679	1,933,225
OTHER COMPREHENSIVE INCOME			
Gain on revaluation of property, plant and equipment		-	3,078,472
Deferred taxation on revaluation of property, plant and equipment		-	(923,542)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		2,012,679	4,088,155
		Shs	Shs
Earnings per share - basic & diluted	9	1.32	1.26

Statement of Financial Position

At 30 June 2012

	Note	2012 Shs'000	2011 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	11	19,810,560	16,415,740
Intangible assets	12	206,603	156,732
Non current receivables	14	150,090	92,385
		20,167,253	16,664,857
Current assets			
Inventories	15	1,676,088	1,191,114
Biological assets	16	191,093	210,615
Trade and other receivables	17	4,584,048	3,863,595
Taxation recoverable	8(c)	200,214	250,109
Collateral deposit	18	294,817	314,524
Short term deposits	19	51,797	14,345
Quoted investments – At fair value through profit or loss	20	35,240	25,267
Cash and bank balances		138,063	642,090
		7,171,360	6,511,659
Non current assets held for sale	21	61,500	-
		7,232,860	6,511,659
Total assets		27,400,113	23,176,516
EQUITY AND LIABILITIES			
Equity			
Share capital	22	3,060,000	3,060,000
Revaluation surplus		3,350,880	3,552,456
Retained earnings		9,312,806	7,863,551
Shareholders' equity		15,723,686	14,476,007
Non current liabilities			
Deferred income taxation liability	23	3,027,494	3,327,449
Provision for service gratuity	24(a)	2,747	3,735
Deferred grant income	25	-	11,800
Long term borrowings	26	2,925,531	2,395,834
		5,955,772	5,738,818
Current liabilities			
Borrowings	26	2,463,448	610,028
Trade and other payables	27	2,928,017	2,024,399
Provision for service gratuity	24(a)	1,201	10,482
Provision for staff leave pay	28	28,552	33,822
Unclaimed dividends	10(b)	299,437	282,960
		5,720,655	2,961,691
Total equity and liabilities		27,400,113	23,176,516

The financial statements on pages 39 to 84 were approved and authorised for issue by the board of directors on 30 August 2012 and were signed on its behalf by:



Director



Director

Statement of Changes in Equity

For the Year Ended 30 June 2012

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2010	3,060,000	1,535,846	6,404,006	10,999,852
Total comprehensive income for the year	-	2,154,930	1,933,225	4,088,155
Final dividend declared - 2010	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(2,189)	2,189	-
Deferred taxation transferred on disposal of equipment	-	656	(656)	-
Transfer of excess depreciation	-	(195,411)	195,411	-
Deferred taxation on excess depreciation	-	58,624	(58,624)	-
At 30 June 2011	3,060,000	3,552,456	7,863,551	14,476,007
At 1 July 2011	3,060,000	3,552,456	7,863,551	14,476,007
Total comprehensive income for the year	-	-	2,012,679	2,012,679
Final dividend declared - 2011	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(70,938)	70,938	-
Deferred taxation transferred on disposal of equipment	-	21,281	(21,281)	-
Transfer of excess depreciation	-	(217,028)	217,028	-
Deferred taxation on excess depreciation	-	65,109	(65,109)	-
At 30 June 2012	3,060,000	3,350,880	9,312,806	15,723,686

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of depreciation and deferred taxation. The revaluation surplus is non-distributable.

Statement of Cash Flows

For the Year Ended 30 June 2012

	Note	2012 Shs'000	2011 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	29(a)	1,913,291	2,346,188
Interest paid		(197,783)	(181,585)
Interest received		411,023	144,831
Other finance charges paid		(10,569)	(4,800)
Taxation paid	8(c)	(1,410)	(4,452)
Net cash generated from operating activities		2,114,552	2,300,182
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment		(4,392,139)	(2,607,652)
Additions to intangible assets	12	(44,455)	(6,259)
Proceeds on disposal of non-current assets held for sale		42,158	1,532
Proceeds on disposal of motor vehicles		517	-
Net cash used in investing activities		(4,393,919)	(2,612,379)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend paid	10(b)	(748,523)	(638,313)
Loans received	29(b)	1,973,773	840,681
Loans repaid	29(b)	(882,507)	(579,863)
Net cash generated from/(used in) financing activities		342,743	(377,495)
DECREASE IN CASH AND CASH EQUIVALENTS		(1,936,624)	(689,692)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		656,435	1,346,127
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	29(c)	(1,280,189)	656,435

1 PRINCIPAL ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS). For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is represented by/equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(a) Relevant new and revised IFRS affecting amounts reported in the current year (and /or prior years)

The following new and revised IFRSs have been adopted in these financial statements. The application of these new and revised IFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)

The amendments to IAS 1 clarify that an entity may choose to disclose an analysis of other comprehensive income by item in the statement of changes in equity or in the notes to the financial statements. In the current year, the company has chosen to continue presenting this analysis in the statement of comprehensive income therefore this has not resulted to any change in presentation.

Amendments to IFRS 7 Disclosures – Transfers of Financial Assets

The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures when a financial asset is transferred but the transferor retains some level of continuing exposure in the asset. The amendments also require disclosures where transfers of financial assets are not evenly distributed throughout the period.

The application of the amendments has had no effect on the amounts reported in the current and prior years because the Company has not entered into any transactions of this nature.

IAS 24 Related Party Disclosures (as revised in 2009)

IAS 24 (as revised in 2009) has been revised on the following two aspects: (a) IAS 24 (as revised in 2009) has changed the definition of a related party and (b) IAS 24 (as revised in 2009) introduces a partial exemption from the disclosure requirements for government-related entities.

The adoption of the revised standard has not led to identification of related parties that were not identified as related parties under the previous Standard.

Amendments to IAS 32 Classification of Rights Issues

The amendments address the classification of certain rights issues denominated in a foreign currency as either equity instruments or as financial liabilities. Under the amendments, rights, options or warrants issued by an entity for the holders to acquire a fixed number of the entity's equity instruments for a fixed amount of any currency are classified as equity instruments in the financial statements of the entity provided that the offer is made pro rata to all of its existing owners of the same class of its non-derivative equity instruments. Before the amendments to IAS 32, rights, options or warrants to acquire a fixed number of an entity's equity instruments for a fixed amount in foreign currency were classified as derivatives. The amendments require retrospective application.

The application of the amendments has had no effect on the amounts reported in the current and prior years because the company has not issued instruments of this nature.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

(a) Relevant new and revised IFRS affecting amounts reported in the current year (and /or prior years) (cont'd)

Amendments to IFRIC 14 Prepayments of a Minimum Funding Requirement

IFRIC 14 addresses when refunds or reductions in future contributions should be regarded as available in accordance with paragraph 58 of IAS 19; how minimum funding requirements might affect the availability of reductions in future contributions; and when minimum funding requirements might give rise to a liability. The amendments now allow recognition of an asset in the form of prepaid minimum funding contributions. The application of the amendments has not had material effect on the company's financial statements.

IFRIC 19 Extinguishing Financial Liabilities with Equity Instruments

The Interpretation provides guidance on the accounting for the extinguishment of a financial liability by the issue of equity instruments. Specifically, under IFRIC 19, equity instruments issued under such arrangement will be measured at their fair value, and any difference between the carrying amount of the financial liability extinguished and the consideration paid will be recognised in profit or loss.

The application of IFRIC 19 has had no effect on the amounts reported in the current and prior years because the Company has not entered into any transactions of this nature.

Improvements to IFRSs issued in 2010

The application of Improvements to IFRSs issued in 2010 has not had any material effect on amounts reported in the financial statements.

(b) New and revised IFRSs in issue but not yet effective

The Company has not applied the following new and revised IFRSs that have been issued but are not yet effective:

IFRS 10	<i>Consolidated Financial Statements</i> ¹
IFRS 11	<i>Joint Arrangements</i> ¹
IFRS 12	<i>Disclosure of Interests in Other Entities</i> ¹
IFRS 13	<i>Fair Value Measurement</i> ¹
Amendments to IAS 1	<i>Presentation of Items of Other Comprehensive Income</i> ²

Amendments to IAS 12	<i>Deferred Tax – Recovery of Underlying Assets</i> ³
IAS 19 (as revised in 2011)	<i>Employee Benefits</i> ¹
IAS 27 (as revised in 2011)	<i>Separate Financial Statements</i> ¹
IAS 28 (as revised in 2011)	<i>Investments in Associates and Joint Ventures</i> ¹
IFRS 9	<i>Financial Instruments</i> ⁴

1 Effective for annual periods beginning on or after 1 January 2013.

2 Effective for annual periods beginning on or after 1 July 2012.

3 Effective for annual periods beginning on or after 1 January 2012

4 Effective for annual periods beginning on or after 1 January 2015.

IFRS 9

IFRS 9 issued in November 2009 introduces new requirements for the classification and measurement of financial assets. IFRS 9 amended in October 2010 includes the requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9 are described as follows:

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(b) New and revised IFRSs in issue but not yet effective (cont'd)

solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in the fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was presented in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015, with earlier application permitted.

The directors anticipate that IFRS 9 will be adopted in the Company's financial statements for the annual period beginning 1 July 2015 and that the application of IFRS 9 will not have a significant impact on amounts reported in respect of the Company's financial assets and financial liabilities as the company has no financial liabilities measured at fair value. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

Package of five Standards

In May 2011, a package of five Standards on consolidation, joint arrangements, associates and disclosures was issued, including IFRS 10, IFRS 11, IFRS 12, IAS 27 (as revised in 2011) and IAS 28 (as revised in 2011).

Key requirements of these five Standards are described below:

IFRS 10 replaces the parts of IAS 27 **Consolidated and Separate Financial Statements** that deal with consolidated financial statements. SIC-12 **Consolidation – Special Purpose Entities** has been withdrawn upon the issuance of IFRS 10. Under IFRS 10, there is only one basis for consolidation, that is control. In addition, IFRS 10 includes a new definition of control that contains three elements: (a) power over an investee, (b) exposure, or rights, to variable returns from its involvement with the investee, and (c) the ability to use its power over the investee to affect the amount of the investor's returns. Extensive guidance has been added in IFRS 10 to deal with complex scenarios.

IFRS 11 replaces IAS 31 **Interests in Joint Ventures**. IFRS 11 deals with how a joint arrangement of which two or more parties have joint control should be classified. SIC-13 **Jointly Controlled Entities – Non-monetary Contributions by Venturers** has been withdrawn upon the issuance of IFRS 11. Under IFRS 11, joint arrangements are classified as joint operations or joint ventures, depending on the rights and obligations of the parties to the arrangements. In contrast, under IAS 31, there are three types of joint arrangements: jointly controlled entities, jointly controlled assets and jointly controlled operations.

In addition, joint ventures under IFRS 11 are required to be accounted for using the equity method of accounting, whereas jointly controlled entities under IAS 31 can be accounted for using the equity method of accounting or proportionate accounting.

IFRS 12 is a disclosure standard and is applicable to entities that have interests in subsidiaries, joint arrangements, associates and/or unconsolidated structured entities. In general, the disclosure requirements in IFRS 12 are more extensive than those in the current standards.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(b) New and revised IFRSs in issue but not yet effective (cont'd)

Package of five Standards - IFRS 12 (cont'd)

These five standards are effective for annual periods beginning on or after 1 January 2013. Earlier application is permitted provided that all of these five standards are applied early at the same time.

The company is a single reporting entity and the adoption of these standards on consolidation will not have an impact on its financial statements.

IFRS 13

IFRS 13 establishes a single source of guidance for fair value measurements and disclosures about fair value measurements. The Standard defines fair value, establishes a framework for measuring fair value, and requires disclosures about fair value measurements. The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except in specified circumstances.

In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

IFRS 13 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 13 will be adopted in the Company's financial statements for the annual period beginning 1 July 2013 and that the application of the new Standard may affect the amounts reported in the financial statements and result in more extensive disclosures in the financial statements.

IAS -1

The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements. However, the amendments to IAS 1 require additional disclosures to be made in the other comprehensive income section such that items of other comprehensive income are grouped into two categories: (a) items that will not be reclassified subsequently to profit or loss; and (b) items that will be reclassified subsequently to profit or loss when specific conditions are met. Income tax on items of other comprehensive income is required to be allocated on the same basis.

The amendments to IAS 1 are effective for annual periods beginning on or after 1 July 2012. The presentation of items of other comprehensive income will be modified accordingly when the amendments are applied in the future accounting periods.

IAS -12

The amendments to IAS 12 provide an exception to the general principles in IAS 12 that the measurement of deferred tax assets and deferred tax liabilities should reflect the tax consequences that would follow from the manner in which the entity expects to recover the carrying amount of an asset. Specifically, under the amendments, investment properties that are measured using the fair value model in accordance with IAS 40 **Investment Property** are presumed to be recovered through sale for the purposes of measuring deferred taxes, unless the presumption is rebutted in certain circumstances.

The amendments to IAS 12 are effective for annual periods beginning on or after 1 January 2012. The company has no investment properties and the adoption of this standard is not expected to have a significant impact on the company's financial statements.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(b) New and revised IFRSs in issue but not yet effective (cont'd)

IAS -19

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. The amendments require all actuarial gains and losses to be recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the statement of financial position to reflect the full value of the plan deficit or surplus.

The amendments to IAS 19 are effective for annual periods beginning on or after 1 January 2013 and require retrospective application with certain exceptions. The directors anticipate that the amendments to IAS 19 will be adopted in the company's financial statements for the annual period beginning 1 July 2013 and that the application of the amendments to IAS 19 may have impact on amounts reported in respect of the Groups' defined benefit plans. However, the directors have not yet performed a detailed analysis of the impact of the application of the amendments and hence have not yet quantified the extent of the impact.

(c) Early adoption of standards

The company did not early-adopt any new or amended standards in 2012.

Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous years and are set out below:

Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of sugar, molasses, water and ethanol is recognised when all the following conditions are satisfied and are stated net of Value Added Tax, Sugar Development Levy, excise duty and discounts:

- the company has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

(i) Sale of electricity

Revenue from electricity sales is recognised based on kilowatt hours (KWH) of power exported to the national grid and capacity charges as provided for under a Power Purchase Agreement (PPA) with the Kenya Power Company Limited.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

(ii) Interest income

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(iii) Other income

All other income earned by the company is recognised on the accruals basis.

Foreign currencies

Transactions in currencies other than the Kenya Shilling are translated at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary assets and liabilities that are denominated in foreign currencies are translated at the rates prevailing at the end of the reporting period. Gains and losses arising on translation are included in profit or loss for the period.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, these being assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised through profit or loss on a systematic basis over the useful life of the equipment.

Taxation

Income taxation expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Property, plant and equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except motor vehicles are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Such valuation is carried out at periodic intervals, usually after every five years.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Any revaluation increase arising on the revaluation is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 33⅓%
Other equipment and fixtures	12½% - 33⅓%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Intangible assets

Computer software

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for any impairment losses. Intangible assets are not revalued.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

The amount initially recognised for an internally - generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally - generated intangible asset can be recognised, development expenditure is charged through profit or loss in the period in which it is incurred.

Inventories

Finished sugar, molasses, water and ethanol inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Sugar in process is stated at half the production cost of finished sugar.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for impairment where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated costs to sale.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated point of sale costs

Immature growing cane is valued at cost.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognized on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial instruments

Financial assets and financial liabilities are recognised in the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

Financial assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity assets; and, available-for-sale assets. Management determines the appropriate classification of its financial assets at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. The company's investment in quoted equity shares falls under this category.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. Bad debts are written off when all reasonable steps to recover them have failed. Objective evidence of impairment for a portfolio of receivables could include the Company's past experience of collecting payments, an increase in number of delayed payments in the portfolio past average credit period as well as observable changes in national or economic conditions that correlate with default on receivables. The company's trade and other receivables as well as cash and bank balances fall under this category.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available-for-sale. The collateral and the term deposits fall under this category.

Available-for-sale financial assets

This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition

Financial assets are initially recognised at fair value plus directly attributable transaction costs for all financial assets not carried at fair value through profit or loss.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are dealt with in profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss' or 'other financial liabilities'. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of directly attributable transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company's key other financial liabilities are:

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised through profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately through profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement benefits obligations

Defined benefit scheme

The company operates a defined benefit post employment scheme for eligible non unionisable employees. The scheme is funded by contributions from both employer and employee. The assets of the scheme are held and administered independently of the company's assets.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

The cost of providing benefits for the defined benefit scheme is determined using the Projected Unit Credit Method, with actuarial valuations being carried out every three years. Actuarial gains and losses that exceed 10 per cent of the greater of the present value of the company's defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The net retirement benefit obligation represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Defined contribution schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The company's contributions to the fund are charged to profit or loss in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Shs 200 per employee per month. The company's contributions are charged through profit or loss in the year to which they relate.

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Employee benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is recognised upon attainment of set annual performance targets and is recognised in the period in which the services were rendered.

Restructuring and rationalisation provisions

Restructuring and rationalisation provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared and appropriately authorized.

Notes (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (cont'd)

(c) Early adoption of standards (cont'd)

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the company's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

- (i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling a more than insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry to a fair value reserve in shareholders' equity.

- (ii) Key sources of estimation and uncertainty

Biological assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 16.

Property, plant and equipment and intangible assets

Critical estimates are made by the management in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipment and intangible assets respectively are determined.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

Contingent liabilities

The company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the management's evaluation, a present obligation has been established.

Notes (cont'd)

3 SEGMENTAL INFORMATION

a) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Managing Director) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the company.

a) Products and services from which reportable segments derive their revenues (Continued)

The company defines its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to the Kenya Power and Lighting Company Limited.
- Ethanol segment which primarily produces and sells ethanol.

b) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Total Shs'000
At 30 June 2012				
Revenue from customers	15,105,886	435,300	1,500	15,542,686
Intersegment sales	(151,070)	151,070	-	-
	14,954,816	586,370	1,500	15,542,686
Cost of sales	(10,728,561)	(302,084)	(30,082)	(11,060,727)
Fair value changes on biological assets	5,678	-	-	5,678
Profit before tax	1,550,879	241,839	(28,689)	1,764,029
Segment EBITDA	1,971,418	472,759	(8,699)	2,435,478
Segment assets	17,072,717	5,275,938	5,051,458	27,400,113
Segment liabilities	4,272,344	1,615,824	2,760,765	8,648,933
Depreciation and amortization	641,741	262,055	19,990	923,786
		Sugar Shs'000	Energy Shs'000	Total Shs'000
30 June 2011				
Revenue		15,441,805	353,495	15,795,300
Intersegment sales		(108,622)	108,622	-
Total sales		15,333,183	462,117	15,795,300
Cost of sales		(9,537,071)	(805,054)	(10,342,125)
Fair value changes on biological assets		(6,445)	-	(6,445)
Profit before taxation		2,991,208	(344,633)	2,646,575
Segment EBITDA		3,412,596	274,307	3,686,903
Segment assets		17,141,253	6,035,263	23,176,516
Segment liabilities		2,924,040	2,449,020	5,373,060
Depreciation and amortisation		638,930	250,693	889,623

Notes (cont'd)

3 SEGMENTAL INFORMATION (cont'd)

Revenue reported above represents revenue generated from external customers, except for the intersegment sales identified in year 2012.

Segment liabilities represent long term loans and current liabilities only.

Impairment losses of Shs 80,509,000 (2011: Shs nil) were recognised in respect of property, plant and equipment.

c) Information on major customers

Included in revenue arising from sales of sugar of Shs 14.82 billion (2011: Shs 15.19 billion), is revenue of approximately Shs 3.1 billion (2011: Shs 2.2 billion) which arose from sales to the company's largest customer.

The energy revenue solely relates to sales to Kenya Power and Lighting Company Limited (KPLC). The company has a power purchase agreement with KPLC which stipulates that the power generated by the company shall be purchased by KPLC as per agreed rates and operational parameters

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policy described in note 1.

Primarily all of the company's revenue is earned from sales made in Kenya.

All the assets of the company are located in Kenya.

4 REVENUE ANALYSIS

	2012 Shs'000	2011 Shs'000
Gross sales	18,702,674	18,812,871
Less:		
Value Added Tax	(2,564,669)	(2,448,482)
Sugar Development Levy	(591,718)	(569,089)
Excise Duty	(3,600)	-
	(3,159,988)	(3,017,571)
Net sales	15,542,686	15,795,300
Net sales analysed as follows:		
Sugar sales	14,824,660	15,191,380
Molasses sales	281,225	250,425
	15,105,885	15,441,805
Electricity sales	435,301	353,495
Ethanol sales	1,500	-
	15,542,686	15,795,300

Notes (cont'd)

	2012 Shs'000	2011 Shs'000
5 (a) FINANCE INCOME		
Interest income:		
On farmers balances	396,136	126,934
On deposits with financial institutions held to maturity	4,598	8,836
On staff loans	9,157	7,678
On collateral deposits held to maturity	1,132	1,383
	<u>411,023</u>	<u>144,831</u>

The interest income on farmers' balances relates to the interest the company charges farmers in relation to credit advanced for farm inputs. The company recovers these amounts from the amounts payable to farmers on harvested cane.

	2012 Shs'000	2011 Shs'000
(b) FINANCE COSTS		
Interest expense:		
On loans	315,603	181,049
On bank overdrafts	220,145	36,495
	<u>535,748</u>	<u>217,544</u>
Less: Amounts included in cost of qualifying assets	(337,965)	(35,959)
Total interest expense	<u>197,783</u>	<u>181,585</u>
Other finance charges	10,569	4,800
Net foreign exchange (gains)/losses	(66,714)	109,150
	<u>141,638</u>	<u>295,535</u>

Interest costs amounting to Shs 337,965,000 (2011 – Shs 35,959,000) were capitalised and included in the cost of qualifying assets (Ethanol and Water projects) in accordance with IAS 23 'Borrowing Costs' which allows borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to form part of the cost of that asset.

Notes (cont'd)

6 PROFIT BEFORE TAXATION

Profit before taxation is arrived at after:

Charging:

	2012 Shs'000	2011 Shs'000
Staff costs (note 7)	1,997,849	1,986,873
Depreciation of property, plant and equipment (note 11)	912,108	884,569
Amortisation of intangible assets (note 12)	11,678	5,054
Operating lease rentals (note 30)	19,899	24,332
Directors' emoluments - fees	5,500	5,500
- other	78,525	55,524
Auditors' remuneration	6,300	6,300
Bad and doubtful debts	64,064	-
Loss on disposal of non-current assets held for sale	175,008	9,519
Write off of fixed assets	80,509	-

Crediting:

Amortisation of grant income (note 25)	11,800	13,960
Reduction in provision for obsolete stock	31,005	19,295
Gain on revaluation of quoted equity investments at fair value through profit or loss	9,973	3,103
Gain on disposal of motor vehicle	517	-
Write back of impairment provision for doubtful debts	-	33,466

7 STAFF COSTS

Salaries and allowances	1,804,764	1,766,947
Staff performance bonus	-	60,000
Pension - defined benefit scheme	60,918	61,338
Provident fund	40,386	33,495
Staff insurance	75,775	32,631
Staff gratuity provision	10,422	19,272
Pension - statutory defined contribution scheme	4,860	4,943
Provision for leave pay	724	8,247

Notes (cont'd)

8 TAXATION

(a) Taxation charge/(credit)

	2012 Shs'000	2011 Shs'000
Current taxation based on the adjusted profit for the year at 30% - current year	51,305	3,514
Prior year under provision	-	152,130
Total current taxation charge	51,305	155,644
Deferred taxation (credit)/charge		
- current year	(319,330)	734,899
- prior year under/(over) provision	19,375	(177,193)
Total deferred taxation (credit)/charge (note 23)	(299,954)	557,706
	(248,650)	713,350

As at 30 June 2012, the company had accumulated tax losses amounting to Shs 6,785,123,000 (2011: Shs 652,637,000).

(b) Reconciliation of expected tax based on accounting profit to taxation charge

	2012 Shs'000	2011 Shs'000
Accounting profit before taxation	1,764,029	2,646,575
Tax at the applicable rate of 30%	529,209	793,973
Tax effect of non deductible expenses	81,002	8,238
Tax effect of non taxable income	(15,017)	(5,119)
Tax effect of excess investment deduction	(863,219)	(58,679)
Prior year under provision of current taxation	-	152,130
Prior year under/(over) provision of deferred taxation	19,375	(177,193)
	(248,650)	713,350

(c) Taxation recoverable

At beginning of the year	(250,109)	(401,301)
Paid in the year	(1,410)	(4,452)
Charge for the year	51,305	3,514
Prior year under provision	-	152,130
At end of year	(200,214)	(250,109)

Notes (cont'd)

9 EARNINGS PER SHARE – BASIC & DILUTED

Earnings per share are calculated by dividing the profit for the year attributable to shareholders by the number of ordinary shares in issue during the year.

	2012	2011
Profit for the year (Shs'000)	2,012,679	1,933,225
Number of ordinary shares (thousands)	1,530,000	1,530,000
Earnings per share Basic & diluted (Shs)	1.32	1.26

There were no potentially dilutive shares outstanding at either 30 June 2012 or 30 June 2011.

10 DIVIDENDS

(a) Dividends per share

The directors recommend a first and final dividend of Shs 0.50 per share (2011 – Shs 0.50) totalling Shs 765 million (2011: Shs 765 million) in respect of the year. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been recognised as a liability in these financial statements. The dividends payable are subject to, where applicable, deduction of withholding tax at the rate of 5% for residents and 10% for non residents as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

	2012 Shs'000	2011 Shs'000
(b) The movement in the dividends payable account is as follows:		
At beginning of the year	282,960	309,273
Final dividend declared – 2011/2010	765,000	612,000
	<u>1,047,960</u>	<u>921,273</u>
Dividend paid	(748,523)	(638,313)
	<u>299,437</u>	<u>282,960</u>

The unclaimed dividends relate substantially to dividends payable to shareholders who had unresolved share certificate issues at the end of the reporting period. These shares are held in trust by Kanouti Trustees.

Notes (cont'd)

11 PROPERTY, PLANT AND EQUIPMENT

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2010	932,299	2,191,097	10,044,358	291,318	289,676	569,173	323,555	14,641,476
Additions	19,105	22,091	167,186	30,802	50,248	107,302	2,210,918	2,607,652
Transfers to non-current assets held for sale (note 21)	-	-	-	-	(7,242)	(272)	-	(7,514)
Transfers from capital work in progress	-	788	185,967	-	-	1,999	(188,754)	-
Transfers to intangible assets	-	-	-	-	-	-	(12,648)	(12,648)
Transfers from inventories (note 15)	-	-	40,880	-	-	-	-	40,880
Revaluation increase/(decrease)	311,245	835,827	(1,240,951)	7,149	-	-	-	(86,730)
At 30 June 2011	1,262,649	3,049,803	9,197,440	329,269	332,682	678,202	2,333,071	17,183,116
At 1 July 2011	1,262,649	3,049,803	9,197,440	329,269	332,682	678,202	2,333,071	17,183,116
Additions	39,607	25,938	110,399	-	56,446	46,744	4,113,005	4,392,139
Disposals	-	-	-	-	(3,060)	-	-	(3,060)
Transfers to non-current assets held for sale (note 21)	-	-	(317,538)	(23,560)	(27,658)	(9,001)	-	(377,757)
Transfers from capital work in progress	16,288	309,424	5,356,686	25,925	-	16,273	(5,724,596)	-
Transfers to intangible assets	-	-	-	-	-	-	(17,094)	(17,094)
Transfers from inventories (note 15)	-	-	291,058	-	-	-	-	291,058
Critical spares written off	-	-	(95,371)	-	-	-	-	(95,371)
At 30 June 2012	1,318,544	3,385,165	14,542,674	331,634	358,410	732,218	704,386	21,373,031
COMPRISING								
Cost	263,413	659,345	11,490,398	117,522	358,410	732,218	704,386	14,325,692
Valuation – 2011	1,055,131	2,725,820	3,052,276	214,112	-	-	-	7,047,339
	1,318,544	3,385,165	14,542,674	331,634	358,410	732,218	704,386	21,373,031

Notes (cont'd)

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

	Land development Shs'000	Factory Buildings Shs'000	Heavy plant and machinery Shs'000	mobile machinery Shs'000	Other Motor vehicles Shs'000	Capital equipment and fixtures Shs'000	work-in- progress Shs'000	Total Shs'000
DEPRECIATION								
At 1 July 2010	96,410	388,421	1,724,099	151,520	261,950	433,123	-	3,055,523
Charge for the year	25,034	102,869	649,949	41,085	12,693	52,939	-	884,569
Transfers to non-current assets held for sale (note 21)	-	-	-	-	(7,242)	(272)	-	(7,514)
Depreciation written back on revaluation	(121,444)	(491,290)	(2,359,863)	(192,605)	-	-	-	(3,165,202)
At 30 June 2011	-	-	14,185	-	267,401	485,790	-	767,376
At 1 July 2011	-	-	14,185	-	267,401	485,790	-	767,376
Charge for the year	38,519	143,127	599,483	42,470	24,248	64,261	-	912,108
Transfers to non-current assets held for sale (note 21)	-	-	(60,258)	(2,878)	(27,658)	(8,297)	-	(99,091)
Eliminated on disposal	-	-	-	-	(3,060)	-	-	(3,060)
Eliminated on asset write off	-	-	(14,862)	-	-	-	-	(14,862)
At 30 June 2012	38,519	143,127	538,548	39,592	260,931	541,754	-	1,562,471
NET BOOK VALUE (valuation)								
At 30 June 2012	1,280,025	3,242,038	14,004,126	292,042	97,479	190,464	704,386	19,810,560
At 30 June 2011	1,262,649	3,049,803	9,183,255	329,269	65,281	192,412	2,333,071	16,415,740
NET BOOK VALUE (Cost basis)								
At 30 June 2012	727,648	1,036,072	12,158,401	109,140	97,479	190,464	704,386	15,023,590
At 30 June 2011	515,958	731,160	7,453,100	100,404	65,281	141,829	2,333,071	11,340,803

During the year, management reviewed items carried in inventories and identified certain major spare parts qualifying as items of property, plant and equipment as provided under IAS 16 Property, Plant and Equipment. These items have been transferred from inventory to property, plant and equipment at a carrying cost of Shs 291,058,000 (2011 – Shs 40,880,000).

The items have attracted a depreciation charge of Sh 1,230,000 (2011 – 14,180,000) during the year.

Property and factory, plant and machinery were revalued on 30 June 2011, by Tysons Limited, Registered Valuers and Estate Agents. Land developments were revalued based on open market value while the basis for the other assets was depreciated replacement cost.

The balance on capital work in progress mainly represents expenditure on incomplete works on the new ethanol plant, water purification plant and the new office block that were in progress at the end of the reporting period. The transfers from capital work in progress mainly relate to the expenditure incurred on the ethanol and the water plants that were commissioned during the year at a cost of Sh 5.75 billion (2011 – Shs 201.4 million).

Notes (cont'd)

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

Included in factory plant and heavy mobile machinery are assets with a carrying value of Shs nil (2011 – Shs 11,801,000) acquired under a Road Maintenance Unit package financed by the Kenya Sugar Board as disclosed on note 25.

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 26.

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2012 Shs'000	2011 Shs'000	2012 Shs'000	2011 Shs'000
Factory plant and machinery	63,196	548,292	7,890	40,919
Heavy mobile machinery	106,539	64,382	15,200	14,595
Motor vehicles	217,739	229,837	46,572	48,877
Other equipment and fixtures	375,403	162,109	93,200	10,057
	<u>762,877</u>	<u>1,004,620</u>	<u>162,862</u>	<u>114,867</u>

12 INTANGIBLE ASSETS

	Computer software Shs'000	Development costs Shs'000	Total Shs'000
At 1 July 2010	190,065	135,969	326,034
Additions	6,259	-	6,259
Transfers from property, plant and equipment	12,648	-	12,648
At 30 June 2011	<u>208,972</u>	<u>135,969</u>	<u>344,941</u>
At 1 July 2011	208,972	135,969	344,941
Additions	15,080	29,375	44,455
Transfers from property, plant and equipment	17,094	-	17,094
At 30 June 2012	<u>241,146</u>	<u>165,344</u>	<u>406,490</u>
AMORTISATION			
At 1 July 2010	183,155	-	183,155
Charge for the year	5,054	-	5,054
At 30 June 2011	<u>188,209</u>	<u>-</u>	<u>188,209</u>
At 1 July 2011	188,209	-	188,209
Charge for the year	11,678	-	11,678
At 30 June 2012	<u>199,887</u>	<u>-</u>	<u>199,887</u>
NET BOOK VALUE			
At 30 June 2012	<u>41,259</u>	<u>165,344</u>	<u>206,603</u>
At 30 June 2011	<u>20,763</u>	<u>135,969</u>	<u>156,732</u>

Intangible assets represent computer software and development costs.

Notes (cont'd)

12 INTANGIBLE ASSETS (cont'd)

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi River Development Authority (TARDA). All expenditure incurred on the research phase of this project was expensed when incurred.

The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project. The development costs are not amortised as they have an indefinite useful life.

At 30 June 2012, intangible assets with a cost of Shs 208,973,708 (2011 – Shs 177,188,585) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 69,650,937 (2011 – Shs 50,056,955).

13 PREPAID OPERATING LEASE RENTALS

granted to the company as disclosed in note 26. The development was valued on 30 June 2011, by Tysons Limited, Registered Valuers and Estate Agents, on open market basis at Shs 790,000,000. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. In doing this, the company has applied the alternative recognition method allowed by IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance' and accounted for both asset and grant at a nil amount.

14 NON CURRENT RECEIVABLES

	2012 Shs'000	2011 Shs'000
Staff receivables	227,156	152,116
Less: receivable within one year (included under note 17)	(77,066)	(59,731)
Receivable after one year (non-current)	150,090	92,385

The company operates a car loan scheme for its employees where by eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to Shs 214,421,820 (2011 – Shs 141,926,379) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans during the year was 5% (2011 - 5%). Included in staff receivables is a balance of Shs nil (2011 – Shs 1,175,000) due from a director of the company. The balance is secured by a vehicle acquired through the loan.

15 INVENTORIES

	2012 Shs'000	2011 Shs'000
Sugar and molasses	33,716	4,362
Sugar in process	261,822	158,129
	295,538	162,491
Mechanical and electrical spares	909,493	819,487
Fertilisers, chemicals and fuels	302,443	65,509
Other consumables	168,614	143,627
	1,676,088	1,191,114

Notes (cont'd)

15 INVENTORIES (Cont'd)

As detailed in note 11, inventories with a carrying cost of Shs 291,508,000 (2011: Shs 40,880,000) have satisfied the criteria for classification as plant and equipment in accordance with the provisions of IAS 16 and have therefore been transferred to property, plant and equipment.

The cost of inventories recognised as an expense during the period was Shs 8,798,968,000 (2011: Shs 8,502,010,367).

The cost of inventories recognised as an expense has been reduced by Shs 31,005,000 (2011: Shs nil) in respect of reversal of write-downs of inventory to net realisable value.

16 BIOLOGICAL ASSETS

	2012 Shs'000	2011 Shs'000
At beginning of the year	210,615	179,375
Additions at cost	197,109	174,421
Decrease due to harvest	(154,262)	(136,736)
Decrease due to impairment	(68,047)	-
	<u>185,415</u>	<u>217,060</u>
Loss arising from changes in fair value attributable to physical changes	(24,999)	(2,767)
Gain/(loss) arising from changes in fair value attributable to price changes	30,677	(3,678)
	<u>5,678</u>	<u>(6,445)</u>
Fair value gain/(loss) during the year		
Carrying amount at the end of the year	<u>191,093</u>	<u>210,615</u>

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 3,750 per tonne of sugar cane (2011 – Shs 3,200).
- Cost of cane at the age of six months and below approximate fair value. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 13.1% depending on the age of the cane across the sugar belt.

As at 30 June 2012, 65% (2011 – 55%) of the Nucleus Estate land under cane cover measuring 2,278 ha (2011 – 2,030 ha) was under immature cane. The remaining 35% (2011 – 45%) estate land measuring 1,208 ha (2011 – 1,653 ha) was under mature cane.

During the year 166,455 tonnes (2011 – 177,301) of cane were harvested from the estate with a fair value less estimated point of sales of Sh 530,178,657 (2011 - Sh 434,218,199).

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of time value of money on estimated future cash flows is not significant.

Impairment loss relating to Nasewa Nucleus Estate of Sh 20,511,812 has been factored in the valuation. The company ceased farming on Nasewa Nucleus since the operations were continuously running into losses as a result of persistent cane fires.

As at 30th June 2012, the company had lodged insurance claims of Sh 47,535,230 with the insurers for loss arising from cane fires in the Nucleus estates, the settlement of which remained contingent at year end.

Notes (cont'd)

17 TRADE AND OTHER RECEIVABLES

	2012 Shs'000	2011 Shs'000
Receivables from farmers*	2,467,824	2,047,263
Trade receivables	848,896	827,741
Other receivables and prepayments	907,078	502,253
Advance payments to suppliers	225,396	376,342
Staff receivables (note 14)	77,066	59,731
Kenya Power & Lighting Company Limited (KPLC) receivables	57,788	50,265
	<u>4,584,048</u>	<u>3,863,595</u>

The KPLC receivables represents costs incurred by the company on behalf of KPLC for the construction of a transmission line between Mumias and Musaga substation in order to export power to the national grid. The costs (inclusive of taxes) of undertaking the design, construction, installation, testing and commissioning of the KPLC interconnection facilities were to be borne by KPLC and are recoverable from KPLC in accordance with the KPLC Interconnection Facilities Project Implementation agreement.

The construction of cogeneration plant was financed partly through the PROPARCO loan. Under the direct Power Purchase Agreement (PPA), between KPLC, PROPARCO and the company, KPLC has assigned the rights of the borrower to the lender. The rights are inclusive of the lenders ability to instruct KPLC on where to make payments relating to the PPA. The amount receivable from KPLC of Shs 50.3 million forms part of the collateral for the PROPARCO loan.

Included in trade receivables is Sh 153,734,451 (2011 – Sh 77,328,811) that relates to the sale of electricity to KPLC in the normal course of trade.

*Receivables from farmers

	2012 Shs'000	2011 Shs'000
Gross amount	2,885,146	2,413,345
Provision for doubtful debts	(417,322)	(366,082)
Net amount (note 17)	<u>2,467,824</u>	<u>2,047,263</u>

Receivables from farmers relates to credit advanced to farmers towards farm inputs. The cane planted acts as collateral for the amount advanced.

	Gross amount Shs'000	Provision for doubtful debts Shs'000	Net 2012 Shs'000	Net 2011 Shs'000
Accountancy fees and agricultural extension services	251,453	(251,453)	-	-
Interest receivable from MOCO	426,717	(426,717)	-	-
Advance to MOCO	56,813	(56,813)	-	-
Legal fees recoverable	64,064	(64,064)	-	-
	<u>799,047</u>	<u>(799,047)</u>	<u>-</u>	<u>-</u>

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (note 32).

Notes (cont'd)

18 COLLATERAL DEPOSIT

	2012 Shs'000	2011 Shs'000
At beginning of the year	314,524	286,709
Interest earned	1,182	1,383
Interest received	(1,182)	(1,383)
Currency translation (loss)/gain	(19,707)	27,815
At the end of the year	294,817	314,524

This is a term deposit which represents a 10% advance collateral deposit on the PROPARCO Loan Facility (note 27) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Limited). The deposit amounted to US dollars 3.5 million. The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

19 SHORT TERM DEPOSITS – Held to maturity

	2012 Shs'000	2011 Shs'000
At amortised cost		
Maturing within 90 days		
Barclays Bank of Kenya Limited	51,797	14,345
The effective interest rates was as follows:		

	2012 %	2011 %
Barclays Bank of Kenya Limited	0.1	1.0

20 QUOTED INVESTMENTS – At fair value through profit or loss

	2012 Shs'000	2011 Shs'000
At beginning of the year	25,267	-
Conversion of accounts receivable and debenture to shares	-	22,164
Fair value gain	9,973	3,103
At the end of the year	35,240	25,267

The company was allotted the Uchumi Supermarkets Limited ordinary shares after the supermarket chain was relisted at the Nairobi Securities Exchange. This was in exchange for an outstanding debt of Shs 14,937,205 owed to the company by Uchumi Supermarkets Limited and a debenture of Shs 7,226,625. The total amount of Shs 22,163,830 was exchanged for 2,216,383 ordinary shares at a par value of Sh 10 per share. As at the end of the year, the market price per share was Sh 15.90 (2011 - Sh 11.40)

Notes (cont'd)

21 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST						
At 1 July 2010	442	1,344	31,798	10,183	7,492	51,259
Transferred from property, plant and equipment (note 11)	-	-	-	7,242	272	7,514
Disposals	(442)	(1,344)	(31,798)	(17,425)	(7,764)	(58,773)
At 30 June 2011	-	-	-	-	-	-
At 1 July 2011	-	-	-	-	-	-
Transferred from property, plant and equipment (note 11)	-	317,538	23,560	27,658	9,001	377,757
Disposals	-	(238,846)	(5,104)	(17,693)	(8,888)	(270,531)
At 30 June 2012	-	78,692	18,456	9,965	113	107,226

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
DEPRECIATION						
At 1 July 2010	39	1,266	24,406	10,183	4,314	40,208
Transferred from property, Plant and equipment (note 11)	-	-	-	7,242	272	7,514
Eliminated on disposal	(39)	(1,266)	(24,406)	(17,425)	(4,586)	(47,722)
At 30 June 2011	-	-	-	-	-	-
At 1 July 2011	-	-	-	-	-	-
Transferred from property, Plant and equipment (note 11)	-	60,258	2,878	27,658	8,297	99,091
Eliminated on disposal	-	(26,169)	(1,319)	(17,693)	(8,184)	(53,365)
At 30 June 2012	-	34,089	1,559	9,965	113	45,726
NET BOOK VALUE						
At 30 June 2012	-	44,603	16,897	-	-	61,500
At 30 June 2011	-	-	-	-	-	-

Assets held for sale represent assets that the company intends to dispose of within the next year in their present condition.

Notes (cont'd)

	2012 Shs'000	2011 Shs'000
22 SHARE CAPITAL		
Authorised: 2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
Issued and fully paid: 1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000

Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.

23 DEFERRED INCOME TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

The net deferred taxation liability is attributable to the following items:

	2012 Shs'000	2011 Shs'000
The net deferred taxation liability is attributable to the following items:		
Deferred taxation liabilities:		
AAccelerated capital allowances	3,870,985	2,281,373
Revaluation surpluses	1,436,090	1,522,481
Unrealised exchange gains	60,981	37,054
	5,368,056	3,840,908
Deferred taxation assets:		
Provision for service gratuity	(1,184)	(4,265)
Provision for staff leave pay	(8,566)	(10,147)
Fair value adjustment - biological assets	(52,970)	(53,825)
Unrealised exchange losses	(212,605)	(192,879)
General doubtful debts provision	(25,200)	(33,178)
Impairment losses	-	(18,874)
Other provisions	(4,500)	(4,500)
Tax losses available for offset against future profits	(2,035,537)	(195,791)
	(2,340,562)	(513,459)
	3,027,494	3,327,449
The movement on the deferred taxation account during the year was as follows:		
At 1 July	3,327,449	1,846,201
Charge/(credit) - note 8(a) – Current year	(319,330)	734,899
– Prior year	19,375	(177,193)
Revaluation surplus	-	923,542
At 30 June	3,027,494	3,327,449

Notes (cont'd)

24 RETIREMENT BENEFITS OBLIGATIONS

(a) Provision for service gratuity

	2012 Shs'000	2011 Shs'000
Balance at the beginning of the year	14,217	26,274
Provision for the year	10,422	19,272
Paid during the year	(20,691)	(31,329)
Balance at the end of the year	3,948	14,217
Maturity analysis		
Within one year	1,201	10,482
After one year	2,747	3,735
	3,948	14,217

(b) Staff retirement defined benefit scheme

A full actuarial valuation was last carried out as at 30 June 2011 by Alexander Forbes Financial Services (E.A.) Limited. An updated valuation was carried out as at 30 June 2012 for the purposes of identifying material movements as at the end of the reporting period. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method. The next full actuarial valuation is scheduled for 30 June 2013.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	2012	2011
Discount rate (% p.a)	12.5	13
Expected return on scheme assets (% p.a)	10	10
Future salary increases (% p.a)	10	8

The expense incurred in the year in respect of these defined benefit plans is as follows.

	2012 Shs'000	2011 Shs'000
Current service cost net of employees contributions	24,618	57,738
Interest on obligation	171,100	139,300
Expected return on plan assets	(134,800)	(135,700)
Total expense	60,918	61,338

The company's obligations in respect of its defined benefit plans are as follows.

	2012 Shs'000	2011 Shs'000
Present value of funded obligations	1,474,800	1,358,600
Fair value of scheme assets	(1,301,800)	(1,373,000)
Net under/(over) funding in funded plan	173,000	(14,400)
Accumulated unrecognized actuarial (losses)/gains	(173,000)	14,400
Net asset	-	-

Notes (cont'd)

24 RETIREMENT BENEFITS OBLIGATIONS (cont'd)

(b) Staff retirement defined benefit scheme (cont'd)

Movements in the present value of the defined benefit obligation in the current and previous period were as follows:

	2012 Shs'000	2011 Shs'000
Opening defined benefit obligation	1,358,600	1,416,000
Current service cost (net of employee contributions)	30,100	40,900
Employee contributions	30,000	29,900
Interest costs	171,100	139,300
Actuarial gains/(losses)	29,400	(151,600)
Benefits paid	(144,400)	(115,900)
Closing defined benefit obligation	1,474,800	1,358,600

Movements in the present value of the plan assets in the current and previous period were as follows:

	2012 Shs'000	2011 Shs'000
Opening fair value of plan assets	1,373,000	1,369,900
Expected return on plan assets	134,800	135,700
Employee contributions	30,000	29,900
Employer contributions	63,500	59,400
Actuarial losses	(155,100)	(106,000)
Benefits paid	(144,400)	(115,900)
Closing fair value of plan assets	1,301,800	1,373,000

The major categories of plan assets at the end of the reporting period are shown below;

The major categories of plan assets, and the expected rate of return at the end of the reporting period for each category, are as follows.

	Fair value of plan assets		Proportion	
	2012 Sh '000	2011 Sh '000	2012 %	2011 %
Equities	381,494	413,939	29	30
Government Bonds	609,462	585,108	47	43
Corporate Bonds	106,279	113,186	8	8
Fixed, call and other deposits	51,211	98,337	4	7
investments	153,240	162,430	12	12
	1,301,686	1,373,000	100.00	100.00
Weighted average expected return	130,179	137,300	10.00	10.00

The weighted expected return on scheme assets is 10% (2011: 10%) per annum.

Notes (cont'd)

24 RETIREMENT BENEFITS OBLIGATIONS (cont'd)

(b) Staff retirement defined benefit scheme (cont'd)

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The director's assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was a deficit of Shs 20,300,000 (2011: Surplus of Shs 29,700,000).

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 60,917,699 (2011 – Shs 61,337,760) in the year.

The history of experience adjustments is as follows;

	30 June 2012	30 June 2011
Present value of defined benefit obligation	1,474,800	1,358,600
Fair value of plan assets	(1,301,800)	(1,373,000)
Net under/(over) funding in funded plan	173,000	(14,400)
Experience adjustments on plan liabilities	29,400	(151,600)
Experience adjustments on plan assets	(155,100)	(106,000)

The company expects to make a contribution of Shs 67,009,468 (2011 - Shs 67,471,536) to the defined benefit plans during the next financial year.

25 DEFERRED GRANT INCOME

	2012 Shs'000	2011 Shs'000
At the beginning of the year	11,800	25,760
Amortisation for the year	(11,800)	(13,960)
At the end of the year	-	11,800

The deferred grant income represents the unamortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation for the year is equivalent to the depreciation charge for the equipment purchased under the grant.

Notes (cont'd)

	2012 Shs'000	2011 Shs'000
26 BORROWINGS		
PROPARCO	1,907,635	2,405,181
Commercial Bank of Africa Limited	312,080	205,137
Barclays Bank of Kenya Limited	200,000	240,000
Ecobank Kenya Limited	1,247,622	155,544
CFC Stanbic Bank Limited	251,593	-
Total loans (note 29(b))	3,918,930	3,005,862
Bank overdrafts	1,470,049	-
The borrowings comprise (note 29(b))	5,388,979	3,005,862
The movement in borrowings is presented on note 29(b)		
The borrowings are repayable as follows:		
On demand or within 1 year	2,463,448	610,028
Within 2 and 5 years	2,925,531	1,840,793
Within 5 and 10 years	-	555,041
Long term borrowings	2,925,531	2,395,834
Total borrowings	5,388,979	3,005,862

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
30 June 2012				
PROPARCO loan	22,647,058	1,907,635	-	1,907,635
Commercial Bank of Africa	-	-	312,080	312,080
Barclays Bank of Kenya	-	-	200,000	200,000
Ecobank Kenya Limited	9,300,753	783,433	464,189	1,247,622
CFC Stanbic Bank Limited	2,986,858	251,593	-	251,593
Bank overdraft	34,934,669	2,942,661	976,269	3,918,930
	433,198	36,490	1,433,559	1,470,049
	35,367,867	2,979,151	2,409,828	5,388,979

Notes (cont'd)

26 BORROWINGS (cont'd)

Analysis of borrowings by currency (cont'd)

	Borrowings in US\$	Kshs equivalent Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
30 June 2011				
PROPARCO loan	26,764,705	2,405,181	-	2,405,181
Commercial Bank of Africa	2,282,752	205,137	-	205,137
Barclays Bank of Kenya	-	-	240,000	240,000
Ecobank	-	155,544	155,544	-
	29,047,457	2,610,318	395,544	3,005,862

Movement in borrowings analysed by currency

	Borrowings in US\$ Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
2012			
At 1 July 2012	2,610,318	395,544	3,005,862
Additional loans	873,050	1,100,723	1,973,773
Repayment of principal	(362,507)	(520,000)	(882,507)
Accrued interest	225,727	63,470	289,197
Repayment of interest	(225,727)	(63,470)	(289,197)
Currency translation gain	(178,198)	-	(178,198)
At 30 June	2,942,663	976,267	3,918,930
2011			
At 1 July 2012	2,529,780	-	2,529,780
Additional loans	205,137	635,544	840,681
Repayment of principal	(339,863)	(240,000)	(579,863)
Accrued interest	160,277	19,879	180,156
Repayment of interest	(160,277)	(19,879)	(180,156)
Currency translation loss	215,264	-	215,264
At 30 June	2,610,318	395,544	3,005,862

The company obtained a US dollar 10 million and Kenya Shillings 800 million syndicate loan facility from a consortium of Ecobank Limited, Commercial Bank of Africa Limited and Bank of Africa Limited for part financing of the Ethanol distillery project. Of this facility, US dollars 9.3 million and Ksh 776 million was drawn during the financial year and continues to accrue interest at an average rate of 5.55% and 13.36% respectively. The loan is repayable by quarterly instalments over a period of 6 years and is secured by a fixed charge over the Ethanol plant. Repayment of the principal will begin at the end of the moratorium expiring in February 2013. Meanwhile the company continues to settle accrued interest on amount drawn as it falls due.

During the financial year, the company continued to make quarterly repayment of the principal and interest on the US Dollars 35 million PROPARCO loan while also maintaining the collateral deposit (note 18) at 10% of the loan disbursed as security. In addition to this collateral, the loan is secured by a fixed charge over the Cogeneration plant.

At the close of the financial year, the company had undrawn committed banking facilities amounting to Sh 758,888,388 (2011 – Shs 1,893,000,000). The banking facilities consist of bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 1,380,318,000 shared out on a parri passu basis by Kenya Commercial Bank Limited, Kenya Commercial Finance Company Limited and CFC Stanbic Bank Limited, with Barclays Bank of Kenya Limited share being Sh 630,815,000.

Notes (cont'd)

26 BORROWINGS (cont'd)

Movement in borrowings analysed by currency (cont'd)

The effective interest rates on the borrowings during the year were:

	2012	2011
PROPARCO	6.53%	6.53%
Barclays Bank of Kenya Limited	6.27%	4.14%
Commercial Bank of Africa Limited	13.36%	13.36%
ECOBANK Limited	5.55%	5.55%
CfC Stanbic Bank Limited	3.31%	-
Bank overdrafts	21.30%	15.00%

27 TRADE AND OTHER PAYABLES

	2012 Shs'000	2011 Shs'000
Trade payables	1,525,534	805,537
Out growers	463,067	433,008
Prepaid sales	326,662	394,325
Accruals	202,480	252,214
Other payables	410,274	139,315
	<u>2,928,017</u>	<u>2,024,399</u>

28 PROVISION FOR STAFF LEAVE PAY

At the beginning of the year	33,822	29,478
Provision for the year	724	8,247
Paid in the year	(5,994)	(3,903)
At the end of the year	<u>28,552</u>	<u>33,822</u>

Notes (cont'd)

29 NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of profit before taxation to cash generated from operations

	2012 Shs'000	2011 Shs'000
Profit before taxation	1,764,029	2,646,575
Adjustments:		
Finance income	(411,023)	(144,831)
Finance costs	208,352	186,385
Depreciation (note 11)	912,108	884,569
Amortisation (note 12)	11,678	5,054
Loss on disposal of non current assets held for sale	175,008	9,519
Exchange difference on collateral deposit	19,707	(27,815)
Gain on disposal of motor vehicle	(517)	-
Write back of provision on Uchumi receivables and debentures	-	(22,164)
Amortisation of deferred grant income (note 25)	(11,800)	(13,960)
Foreign exchange losses/(gains) on borrowings	(178,198)	215,264
Gain on revaluation of quoted investments	(9,973)	(3,103)
Loss on asset written off	80,509	-
Cash generated from operations before working capital changes	2,559,880	3,735,493
Movements in:		
Non-current receivables	(57,705)	6,008
Inventories (note 29(d))	(776,032)	(276,916)
Biological assets	19,522	(31,240)
Trade and other receivables	(720,453)	(536,351)
Provision for service gratuity	(10,269)	(12,057)
Trade and other payables	903,618	(543,093)
Provision for staff leave pay	(5,270)	4,344
Cash generated from operations	1,913,291	2,346,188

(b) Loans movement

At beginning of year	3,005,862	2,529,780
Received	1,973,773	840,681
Repayment of principal	(882,507)	(579,863)
Accrued interest	289,197	180,156
Repayment of interest	(289,197)	(180,156)
Currency translation (gain)/loss	(178,198)	215,264
At end of the year (note 26)	3,918,930	3,005,862

(c) Analysis of the balances of cash and cash equivalents

Cash and bank balances	138,063	642,090
Deposits with financial institutions (note 19)	51,797	14,345
Bank overdrafts (note 26)	(1,470,049)	-
	1,280,189	656,435

Notes (cont'd)

29 NOTES TO THE STATEMENT OF CASH FLOWS (cont'd)

	2012 Shs'000	2011 Shs'000
(d) Movement in inventory		
Increase in inventory	(484,974)	(236,036)
Critical spares transferred from inventory (note 11)	(291,058)	(40,880)
	<u>(776,032)</u>	<u>(276,916)</u>

30 OPERATING LEASE ARRANGEMENTS

The company as lessee:

Minimum lease payments under operating leases recognised through profit or loss

19,899

24,332

At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:

Within one year

14,044

13,297

In the second to fifth years inclusive

56,176

53,188

70,220

66,485

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 9,902,000 (2011 – Shs 11,714,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables.

	2012 Shs'000	2011 Shs'000
Within one year	9,902	11,714
In the second to fifth years inclusive	39,608	46,856
	<u>49,510</u>	<u>58,570</u>

31 CAPITAL COMMITMENTS

Commitments at the year-end for which no provision has been made in these financial statements:

Authorised and contracted for

337,434

420,986

Authorised but not contracted for

2,422,429

2,558,897

2,759,863

2,979,883

The capital commitments relate primarily to expenditure on the sugar colour improvement (Shs 150 million), energy conservation (Shs 150 million). These projects are meant to improve production efficiency, resource utilization and reduce factory downtime. The company intends to fund these commitments through internally generated funds, loans and overdrafts.

Notes (cont'd)

	2012 Shs'000	2011 Shs'000
32 CONTINGENT LIABILITIES		
Pending claims	107,176	42,038
Guarantees	138,600	92,000

Mumias Sugar Company Limited (MSC) and MOCO have a dispute where MOCO has made a claim of Shs 3,531,008,011 in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process was suspended after a judicial review. The directors are of the opinion that the claim is unlikely to succeed and has therefore not been provided for in these financial statements.

All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 17(b).

33 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balances outstanding on that scheme at year end was Shs 214,421,820 (2011 – Shs 141,926,379). The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 9,157,000 (2011 – Shs 7,678,000).

b) Key management compensation

The remuneration for key management during the year was as follows:

	2012 Shs'000	2011 Shs'000
Salaries and other benefits	70,503	81,308
c) Directors' remuneration		
Fees for services as directors	5,500	5,500
Other emoluments	78,525	55,524
	84,025	61,024

34 RISK MANAGEMENT POLICIES

Overview

The company's activities expose it to a variety of operational and financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the company's business and the operational risks are an inevitable consequence of being in business.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- Credit risk
- Market risk
- Liquidity risk

Notes (cont'd)

34 RISK MANAGEMENT POLICIES (cont'd)

The key operational risks include political and environmental risks.

The company's financial risk management policies are designed to identify and analyze these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems. The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices. The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks. Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Audit Committee. This department is responsible for assessing the risk faced by the company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls that address these risks. The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The company is exposed to this risk in several areas including trade and other receivables and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit.

The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories. The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production, ethanol and water to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews. Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

Notes (cont'd)

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

In measuring credit risk relating to trade receivables, the company therefore reflects three components:

The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt or facing financial difficulties. In some cases where an unsecured customer is in arrears the whole amount is provided for.

Maximum exposure to credit risk before collateral held or other credit enhancements

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the end of the reporting period, without taking account of any collateral held or other credit enhancements attached. For reported financial assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. The credit risk on liquid funds is limited because the counterparties are commercial banks with high credit-ratings assigned by international credit-rating agencies. No collateral is held for advances to farmers.

The credit risk exposures are classified in three categories:

Neither past due nor impaired

The company classifies financial assets under this category for those exposures that are up to date and in line with contractual agreements.

Past due but not impaired

These relate to financial assets that have passed the contractual payment period but are expected to be recovered within reasonable timelines. These assets are not impaired and continue to be recovered with the active involvement of management. The collateral held for sugar debtors in this category includes guarantees from reputable banks recommended by the company.

Impaired

Impaired financial assets are those for which the company determines that it is probable that it will be unable to collect all payments due according to the contractual terms of the agreement(s). No collateral is held with respect to the debt, or the collateral doesn't sufficiently cover the exposure.

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

Analysis of credit risk exposure

The company's largest customer accounted for 21.1% of its current year sales (2011: 14.5%):

Concentration of credit risk to the largest customer did not exceed 5% of gross monetary assets at the end of the reporting period. Concentration of credit risk to any other counter party did not exceed 5% of gross monetary assets at the end of the reporting period.

Notes (cont'd)

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Analysis of credit risk exposure (cont'd)

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2012 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	706,760	142,136	84,000	932,896
Receivables from farmers	-	2,467,824	417,322	2,885,146
MOCO receivables	-	-	799,047	799,047
KPLC receivables	-	57,788	-	57,788
Quoted investments – Uchumi shares	35,240	-	-	35,240
Collateral deposit	294,817	-	-	294,817
Short term deposits	51,797	-	-	51,797
Bank balances	138,063	-	-	138,063
	1,226,677	2,667,748	1,300,369	5,194,794
Less: impairment allowance	-	-	(1,300,369)	(1,300,369)
	1,226,677	2,667,748	-	3,894,425

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2011 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	754,558	73,183	82,311	910,052
Receivables from farmers	-	2,047,263	366,082	2,413,345
MOCO receivables	-	-	734,983	734,983
KPLC receivables	50,265	-	-	50,265
Quoted investments – Uchumi shares	25,267	-	-	25,267
Collateral deposit	314,524	-	-	314,524
Short term deposits	14,345	-	-	14,345
Bank balances	642,090	-	-	642,090
	1,801,049	2,120,446	1,183,376	5,104,871
Less: impairment allowance	-	-	(1,183,376)	(1,183,376)
	1,801,049	2,120,446	-	3,921,495

Of the total gross amount of impaired receivables, the following amounts have been individually assessed as impaired:

	2012 Shs'000	2011 Shs'000
Trade receivables	84,000	82,311
Receivables from farmers	417,322	366,082
MOCO receivables	799,047	734,983
	1,300,369	1,183,376

Notes (cont'd)

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Analysis of credit risk exposure (cont'd)

The table below shows the ageing profile of past due but not impaired receivables:

	2012 Shs'000	2011 Shs'000
Within 30 days	-	57,102
31 - 60 days	70,284	-
61 - 90 days	145,734	115,836
Above 90 days	2,393,942	1,947,508
	<u>2,609,960</u>	<u>2,120,446</u>

Market risk management

Market risk is the risk arising from changes in market prices, such as interest rate and foreign exchange rates which will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. Overall responsibility for managing market risk rests with the company's management under the supervision of the Board of Directors.

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

At 30 June 2012, an increase/decrease of 3 percentage points on interest rates would have resulted in a decrease/increase in pre-tax profit of Shs nil (2011 – Shs nil). The interest rate on the PROPARCO loan and Barclays bank loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

(i) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, the Sterling Pound and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors or denominated in foreign currency, bank balances and collateral and term deposits denominated in foreign currency.

As at 30 June 2012, an increase/decrease of 5 percentage points on exchange rates would have resulted in an decrease/increase in pre-tax profit of Shs 95,381,821 (2011 – Shs 84,621,688). This risk is primarily attributed to the PROPARCO loan after adjusting for the effect of US dollar denominated PROPARCO loan collateral deposit, term deposits, trade and other receivables and Euro denominated trade and other receivables

Liquidity risk management

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

Notes (cont'd)

34 RISK MANAGEMENT POLICIES (Cont'd)

Liquidity risk management (cont'd)

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	1 - 6 months Shs'000	6 - 12 months Shs'000	1 - 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2012					
Borrowings	777,897	493,719	3,664,309	-	4,935,925
Trade payables	1,525,534	-	-	-	1,525,534
Payables to out growers	463,067	-	-	-	463,067
Bank overdrafts	1,470,049	-	-	-	1,470,049
Total financial liabilities (contractual maturity dates)	4,236,547	493,719	3,664,309	-	8,394,575
At 30 June 2011					
Borrowings	503,796	617,509	2,233,523	189,648	3,544,476
Trade payables	805,537	-	-	-	805,537
Payables to outgrowers	433,008	-	-	-	433,008
Total financial liabilities (contractual maturity dates)	1,742,341	617,509	2,233,523	189,648	4,783,021

Determination of fair value and fair values hierarchy

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observable market data when available. The company considers relevant and observable market prices in its valuations where possible.

The company has investment in quoted Uchumi shares which are carried at fair value through profit or loss amounting to Shs 35,240,000 (2011 – 25,267,000). This investment is categorised under level 1. There were no financial assets categorised under the other levels at the end of the reporting period (2011 – nil).

35 CAPITAL MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

Notes (cont'd)

35 CAPITAL MANAGEMENT (Cont'd)

The capital structure of the company consists of debt, which includes the borrowings less cash and cash equivalents and equity attributable to equity holders, comprising issued capital, revaluation surplus and retained earnings.

The Board of Directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risks associated with each class of capital. Based on the review, the company analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2012 Shs'000	2011 Shs'000
The gearing ratio at the year end was as follows:		
Shareholders' equity	15,723,686	14,476,007
Borrowings (note 26)	3,918,930	3,005,862
Collateral deposits (note 18)	(294,817)	(314,524)
Deposits with financial institutions (note 19)	(51,797)	(14,435)
Cash and bank balances	1,331,986	(642,090)
Net debt	4,904,302	2,034,903
Gearing ratio	31.19%	14.06%

36 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

37 CURRENCY

These financial statements are prepared in thousands of Kenya Shillings (Shs '000).

Appendix I

DETAILED STATEMENT OF COMPREHENSIVE INCOME

For the Year Ended 30 June 2012

	Appendix	2012 Shs'000	2011 Shs'000
SALES			
Gross sugar sales		17,877,928	18,126,463
Gross molasses sales		331,293	290,494
Gross electricity sales		487,537	395,914
Gross ethanol sales		5,916	-
Total gross sales		18,702,674	18,812,871
Value added tax		(2,564,669)	(2,448,482)
Sugar development levy		(591,719)	(569,089)
Excise Duty		(3,600)	-
NET SALES		15,542,686	15,795,300
COST OF SALES			
Cane purchases	II	(6,970,953)	(6,837,027)
Factory production- sugar	II	(1,380,259)	(1,208,463)
Factory production- energy	II	(302,084)	(436,807)
Factory production – ethanol	II	(30,011)	-
Factory production – water	II	(3,332)	-
Factory engineering	II	(811,719)	(809,527)
Production overheads	III	(1,423,219)	(814,012)
Sugar packaging materials		(268,629)	(288,838)
Decrease in the value of sugar inventories		129,549	52,549
		(11,060,657)	(10,342,125)
GROSS PROFIT		4,482,029	5,453,175
OTHER OPERATING INCOME	III	133,031	106,233
MARKETING AND DISTRIBUTION COSTS	III	(733,345)	(1,164,570)
ADMINISTRATIVE EXPENSES	IV	(1,567,202)	(1,148,041)
OTHER OPERATING EXPENSES	IV	(825,547)	(443,073)
FINANCE INCOME		411,023	144,831
FINANCE COSTS		(141,638)	(295,535)
PROFIT BEFORE TAXATION		1,758,351	2,653,020
Reconciliation of results at actual cost of biological assets and agricultural produce to results based on fair valuation of biological assets and agricultural produce:			
PROFIT BEFORE TAXATION AS ABOVE		1,758,351	2,653,020
Fair value adjustment		5,678	(6,445)
PROFIT BEFORE TAXATION AS PER STATEMENT OF COMPREHENSIVE INCOME		1,764,029	2,646,575

Appendix II

DETAILED STATEMENT OF COMPREHENSIVE INCOME (Cont'd)

For the Year Ended 30 June 2012

	2012 Shs'000	2011 Shs'000
CANE PURCHASES		
Registered out growers cane	6,588,976	6,536,896
Nucleus estate cane	381,977	300,131
	<u>6,970,953</u>	<u>6,837,027</u>
FACTORY PRODUCTION- SUGAR		
Depreciation of factory plant and buildings	466,788	439,334
Staff costs	419,826	365,435
Other costs	252,303	160,467
Cane handling	91,701	71,839
Factory chemicals	68,613	99,838
Insurance of factory plant and buildings	62,659	57,190
Water and effluent treatment	18,369	14,360
	<u>1,380,259</u>	<u>1,208,463</u>
FACTORY PRODUCTION- ENERGY		
Depreciation of factory plant and buildings	262,055	250,693
Staff costs	-	21,489
Legal and professional costs	8,630	40,824
Other costs	3,083	45,906
Factory chemicals	21,102	11,158
Plant and equipment repairs	12,679	21,097
Mechanical, electrical & instrument spares	(5,465)	45,640
	<u>302,084</u>	<u>436,807</u>
FACTORY PRODUCTION- ETHANOL		
Depreciation of factory plant and buildings	19,812	-
Staff costs	10,187	-
Other costs	12	-
	<u>30,011</u>	<u>-</u>
FACTORY PRODUCTION- WATER		
Depreciation of factory plant and buildings	1,863	-
Packaging materials	1,060	-
Other costs	1,834	-
Increase in value of water	(1,425)	-
	<u>3,332</u>	<u>-</u>
FACTORY ENGINEERING		
Mechanical spares	231,359	145,737
Staff costs	266,243	268,278
Plant and equipment repairs	122,318	233,957
Electrical spares	81,260	61,465
Fuels and lubricants	40,306	47,872
Factory instruments	45,444	26,571
Welding materials	24,789	25,647
	<u>811,719</u>	<u>809,527</u>

Appendix III

For the Year Ended 30 June 2012

	2012 Shs'000	2011 Shs'000
PRODUCTION OVERHEADS		
Cane establishment and development other costs	413,455	4,939
Cane establishment and development staff costs	251,700	213,925
Factory administration – staff costs	245,179	240,008
Harvesting and transport staff costs	133,510	137,094
Harvesting and transport other costs	311,328	218,046
Biological Assets Impairment costs	68,047	-
	<u>1,423,219</u>	<u>814,012</u>
OTHER OPERATING INCOME		
Guest house	49,413	34,044
Sundry income	22,809	34,824
Amortisation of grant income	11,800	13,959
Rent receivable	9,902	11,714
Seed cane sales	29,134	8,589
Gain on revaluation of quoted equity investments at fair value through profit or loss	9,973	3,103
	<u>133,031</u>	<u>106,233</u>
MARKETING AND DISTRIBUTION COSTS		
Road haulage	410,928	750,063
Staff costs	90,288	127,113
Advertising and promotion	131,100	122,302
Other costs	89,045	153,852
Storage costs	10,056	9,548
Depreciation	1,928	1,692
	<u>733,345</u>	<u>1,164,570</u>

Appendix IV

For the Year Ended 30 June 2012

	2012 Shs'000	2011 Shs'000
ADMINISTRATIVE EXPENSES		
Staff costs	441,332	358,608
Other costs	202,744	129,973
Performance bonus	-	60,000
Legal and professional fees	161,869	155,529
Other provisions	51,239	(57,333)
Depreciation	80,699	60,013
Medical services	59,548	64,562
Travelling	62,188	68,782
Security	59,858	57,880
Publications and listing	35,757	31,619
Directors' emoluments	22,877	61,024
Amortisation of intangible assets	11,678	5,054
Software licenses and support	38,337	32,403
Insurance	56,400	30,636
Group life insurance	20,353	32,962
Bank charges	32,247	28,819
Staff training and recruitment costs	46,828	35,281
Telephones and communications	15,324	13,133
Audit fees	6,300	6,300
Stationery	5,901	5,330
Bad and doubtful debts	73,342	(33,466)
Donations	1,872	932
Asset written off	80,509	-
	<u>1,567,202</u>	<u>1,148,041</u>
OTHER OPERATING EXPENSES		
Staff costs	54,385	97,289
Depreciation	78,962	130,168
Other costs	462,388	133,564
Sports and community services	1,709	26,708
Residential estate services	53,612	45,825
Loss on disposal of property, plant and equipment and		
Non-current assets held for sale	174,491	9,519
	<u>825,547</u>	<u>443,073</u>

Appendix V - Five Year Summary

For the Year Ended 30 June 2012

	2009/08 Shs'000	2008/09 Shs'000	2009/10 Shs'000	2010/11 Shs'000	2011/12 Shs'000
Turnover	11,970,101	11,791,708	15,617,738	15,795,300	15,542,686
Cane purchases from out growers	5,010,627	4,923,637	6,630,910	6,536,896	6,588,976
Gross profit	4,265,524	3,310,968	4,884,538	5,446,730	4,487,707
Profit before taxation	1,589,204	1,193,161	2,179,874	2,646,575	1,764,029
Taxation	(375,367)	416,811	(607,491)	(713,350)	248,650
Profit after taxation	1,213,837	1,609,972	1,572,383	1,933,225	2,012,679
Shareholders' funds at period end	9,041,497	10,039,469	10,999,852	14,476,007	15,723,686
Gross profit margin	35.63%	28.08%	31.38%	34.4%	28.87%
Return on capital employed	17.58%	11.88%	19.82%	18.28%	11.23%
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	612,000	612,000	612,000	765,000	765,000
Dividends per share, Shs	0.40	0.40	0.40	0.50	0.5
Earnings per share, Shs	0.79	1.05	1.03	1.21	1.31
Direct revenue to Government by way of Value Added Tax, Excise Duty and Income taxes	2,157,700	1,514,156	2,496,155	2,227,900	2,568,269
Staff costs:					
Management	734,067	907,541	1,129,231	954,974	1,136,712
Non-management	756,621	716,778	847,141	973,662	876,675
Total staff costs	1,490,688	1,624,319	1,976,372	1,928,636	2,013,387
Registered farmers at period end	81,789	84,567	89,012	104,489	115,002
Area under cane (Ha)					
Nucleus estate	3,755	3,722	3,554	3,683	3,637
Outgrowers	59,410	62,818	55,543	58,580	59,715
Cane processed (Thousand Tonnes)	2,408	2,161	2,318	2,245	1,917
Sugar produced (Thousand Tonnes)	265	231	236	236	173
Category of permanent employees:					
Management	453	588	541	579	606
Non-management	1,153	1,112	982	1,225	1,290
Total	1,606	1,700	1,523	1,804	1,896

Share Member No.....

The Company Secretary,

Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

PROXY

I/We _____ of _____

Being a *Member/Members of the named Company, hereby appoint:

_____ of _____

Or failing him _____ of _____

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 7th December 2012 and at any adjournment thereof.

*Strike out as appropriate

Signature (s).

Signed this _____ day of _____ 2012

Notes:

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here

Shareholders admission letter for MSC AGM on 7th December, 2012

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance.

Kindly note that only the registered shareholders or their proxy in order to record attendance.

Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

NAME _____

SIGNATURE _____

SHARE ACCOUNT NUMBER _____

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 7th December 2012 at 10.00 am.

Nambari ya Mwanahisa.....

Katibu Wa Kampuni,

Mumias Sugar Company Limited (MSC)

Private Bag

Mumias

WAKALA

Mimi/Sisi _____ kutoka _____

Kama* mwanachama/Wanachama wa Kampuni iliyotajwa namteua/twamteua

_____ kutoka _____

Au akikosa _____ kutoka _____

Kama wakala wangu/wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa pamoja wa mwaka (AGM) utakaofanyika Ijumaa Desemba 7, 2012 au kuahirishwa kwake.

*Jaza panapohitajika.

Imetiwa sahihi _____ Tarehe _____ Mwaka 2012

Muhimu:

- 1) Anwani iwe kama ilivyoonyeshwa katika rejista ya wanachama
- 2) Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
- 3) Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
- 4) Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetoshwa lakini majina ya wamiliki wote yaonyeshwe.

Kata Hapa

Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa pamoja wa mwaka wa MSC Ijumaa Desemba 7, 2012.

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi idadi ya waliohudhuria.

Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48 kabla ya kuanza kwa mkutano watakoruhusiwa kuhudhuria.

JINA _____

SAHIHI _____

AKAUNTI YA MWANAHISA _____

Mkutano wa pamoja wa mwaka wa Kampuni ya MSC utakaofanyika Chuo cha Tom Mboya Labour , Ring Road Milimani, Kisumu Ijumaa Desemba 7, 2012 kuanzia saa nne asubuhi.



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